A/80/5 (Vol. III)

United Nations

Financial report and audited financial statements

for the year ended 31 December 2024

and

Report of the Board of Auditors

Volume III
International Trade Centre

General Assembly
Official Records
Eighty Session
Supplement No. 5

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Note

Symbols of United Nations documents are composed of letters combined with figures. Mention of such a symbol indicates a reference to a United Nations document.

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Contents

Chapter		*Page*
	Letters of transmittal	4
I.	Report of the Board of Auditors on the financial statements: audit opinion	6
II.	Long-form report of the Board of Auditors	9
	Summary	9
	A. Mandate, scope and methodology	11
	B. Findings and recommendations	12
	1. Follow-up on previous recommendations	12
	2. Financial overview	12
	3. Financial management	14
	4. Programme and project management	15
	5. Human resources management	19
	C. Transmissions of information by management	20
	1. Write-off of losses of cash, receivables and property	20
	2. Ex gratia payments	20
	3. Cases of fraud, presumptive fraud and financial mismanagement	20
	D. Acknowledgement	21
	Annex Status of implementation of recommendations up to the financial year ended 31 December 2023	22
III.	Certification of the financial statements	27
IV.	Financial report for the year ended 31 December 2024	28
V.	Financial statements for the year ended 31 December 2024	29
	I. Statement of financial position as at 31 December 2024	29
	II. Statement of financial performance for the year ended 31 December 2024	30
	III. Statement of changes in net assets for the year ended 31 December 2024	31
	IV. Statement of cash flows for the year ended 31 December 2024	32
	V. Statement of comparison of budget and actual amounts for the year ended 31 December 2024	33
	Notes to the 2024 financial statements	34
Annexes		
I.	Statement of appropriations	81
II.	Statement of budget and actual amounts for the year ended 31 December 2024	82

Letters of transmittal

Letter dated 31 March 2025 from the Secretary-General addressed to the Chair of the Board of Auditors

In accordance with financial regulation 6.2, I have the honour to transmit the financial statements of the International Trade Centre for the year ended 31 December 2024, which I hereby approve. The financial statements have been completed and certified by the Controller as correct in all material respects.

Copies of these financial statements are also being transmitted to the Advisory Committee on Administrative and Budgetary Questions.

(*Signed*) António **Guterres**

Letter dated 23 July 2025 from the Chair of the Board of Auditors addressed to the President of the General Assembly

I have the honour to transmit to you the report of the Board of Auditors, together with the financial report and the audited financial statements of the International Trade Centre for the year ended 31 December 2024.

(*Signed*) Pierre **Moscovici**
First President of the French Cour des Comptes
Chair of the Board of Auditors

Chapter I

Report of the Board of Auditors on the financial statements: audit opinion

Opinion

We have audited the financial statements of the International Trade Centre (ITC), which comprise the statement of financial position as at 31 December 2024 (statement I) and the statement of financial performance (statement II), the statement of changes in net assets (statement III), the statement of cash flows (statement IV) and the statement of comparison of budget and actual amounts (statement V) for the year then ended, as well as the notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the International Trade Centre as at 31 December 2024 and its financial performance and cash flows for the year then ended, in accordance with the International Public Sector Accounting Standards (IPSAS).

Basis for opinion

We conducted our audit in accordance with the International Standards on Auditing and the International Standards of Supreme Audit Institutions. Our responsibilities under those standards are described in the section below entitled "Auditor's responsibilities for the audit of the financial statements". We are independent of the International Trade Centre, in accordance with the ethical requirements relevant to our audit of the financial statements, and we have fulfilled our other ethical responsibilities in accordance with those requirements. We believe that the audit evidence that we have obtained is sufficient and appropriate to provide a basis for our opinion.

Information other than the financial statements and auditor's report thereon

The Secretary-General is responsible for the other information, which comprises the financial report for the year ended 31 December 2024, contained in chapter IV, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information, and we do not express any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, on the basis of the work that we have performed, we conclude that there is a material misstatement in the other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Secretary-General and those charged with governance for the financial statements

The Secretary-General is responsible for the preparation and fair presentation of the financial statements in accordance with IPSAS and for such internal control as the Secretary-General determines to be necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Secretary-General is responsible for assessing the ability of the International Trade Centre to continue as a going concern, disclosing, as applicable, matters related to the going concern and using the going-concern basis of accounting unless the Secretary-General intends either to liquidate the International Trade Centre or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the financial reporting process of the International Trade Centre.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance as to whether the financial statements as a whole are free from material misstatements, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with the International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of the users on the basis of these financial statements.

As part of an audit in accordance with the International Standards on Auditing, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

(a) Identify and assess the risks of material misstatement in the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting one resulting from error, as fraud may involve collusion, forgery, intentional omission, misrepresentation or the overriding of internal control;

(b) Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the internal control of the International Trade Centre;

(c) Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Secretary-General;

(d) Draw conclusions as to the appropriateness of the Secretary-General's use of the going-concern basis of accounting and, on the basis of the audit evidence obtained, whether a material uncertainty exists in relation to events or conditions that may cast significant doubt on the ability of the International Trade Centre to continue as a going concern. If we conclude that a material uncertainty exists, we are required

to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the International Trade Centre to cease to continue as a going concern;

(e) Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance with regard to, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on other legal and regulatory requirements

Furthermore, in our opinion, the transactions of the International Trade Centre that have come to our notice, or that we have tested as part of our audit, have in all significant respects been in accordance with the Financial Regulations and Rules of the United Nations and legislative authority.

In accordance with article VII of the Financial Regulations and Rules of the United Nations, we have also issued a long-form report on our audit of the International Trade Centre.

(*Signed*) Pierre **Moscovici**
First President of the French Cour des Comptes
Chair of the Board of Auditors

(*Signed*) **Hou** Kai
Auditor General of the People's Republic of China
(Lead Auditor)

(*Signed*) Vital **do Rego Filho**
President of the Brazilian Federal Court of Accounts

23 July 2025

Chapter II
Long-form report of the Board of Auditors

Summary

Audit opinion

The Board of Auditors has audited the financial statements and reviewed the operations of the International Trade Centre (ITC) for the year ended 31 December 2024. In the Board's opinion, the financial statements present fairly, in all material respects, the financial position of ITC as at 31 December 2024 and its financial performance and cash flows for the year then ended, and have been prepared in accordance with the International Public Sector Accounting Standards.

Overall conclusion

The total assets of ITC increased by $87.87 million (23 per cent) to $461.97 million as at 31 December 2024 (2023: $374.10 million), due mainly to the increase in voluntary contributions receivable (2023: $198.87 million; 2024: $274.87 million). Total liabilities increased by $98.67 million (26 per cent) to $485.41 million as at 31 December 2024 (2023: $386.74 million), owing mainly to the increase in liabilities for conditional arrangements (2023: $212.20 million; 2024: $279.07 million). The net assets of ITC remained negative (2023: -$12.64 million; 2024: -$23.44 million) and the change is due primarily to the actuarial loss on employee benefit liabilities. The surplus of $0.74 million for 2023 increased to $5.37 million in 2024.

The Board noted that improvements could be made in areas such as financial management, programme and project management, and human resources management. The Board has made recommendations to address those weaknesses.

Key findings

Insufficient self-assessment in project completion reports

In 2024, among the 12 sampled trade-related technical assistance projects with budgets exceeding $2 million, 9 had unachieved indicators that were not reflected in the project completion reports, and 7 were rated as "highly satisfactory" under the "effectiveness" section, despite each having unachieved indicators. This reduces the efficacy of the project completion reports, limiting the ability of management and stakeholders to accurately assess project delivery and take remedial actions where applicable.

Inadequate management of implementing partner data

Owing to the utilization of fragmented and incomplete data in the current tools for managing implementing partners, the approach to implementing partner selection was decentralized and largely relied on project managers' institutional knowledge and prior experience with specific partners. Furthermore, 25 of the 38 sampled implementing partners (65.79 per cent) were not disclosed on the Centre's external Open Data Portal. These deficiencies limited effective oversight, weakened implementing partner screening and risk management and undermined transparency.

Deficiencies in the management of experts on non-reimbursable loan

From 2017 to 2024, ITC recruited nine technical experts through the non-reimbursable loan modality, with a total service value budget of $4.3 million. Of these experts, eight were consistently funded by a single donor over extended periods. The Centre did not avail itself of various means, including, but not limited to, the note verbale process to solicit nominations. This negatively impacted candidate diversity and reduced the competitiveness of the recruitment process.

Main recommendations

The Board has made the following key recommendations, namely that ITC:

Insufficient self-assessment in project completion reports

(a) **Review and update the project completion report template and instructions, in order to better equip project managers to report systematically and objectively.**

Inadequate management of implementing partner data

(b) **Enhance the use of existing systems to consolidate partner information, including historical performance and risk data, to support effective partner selection, oversight and performance monitoring and disclose, in a timely manner, implementing partner information in line with transparency commitments.**

Deficiencies in the management of experts on non-reimbursable loan

(c) **Enhance the recruitment process for experts on non-reimbursable loan through outreach to attract a larger base of potential sponsoring governments.**

Follow-up on previous recommendations

As at 31 December 2024, of 16 outstanding recommendations up to the financial year ended 31 December 2023, 9 (56 per cent) had been implemented, while 6 (38 per cent) were under implementation and 1 (6 per cent) had been overtaken by events.

Key facts	
$177.67 million	Total revenue
$172.30 million	Total expenses
$5.37 million	Surplus for the year
$461.97 million	Total assets
$485.41 million	Total liabilities
-$23.44 million	Net assets

A. Mandate, scope and methodology

1. The International Trade Centre (ITC) is a technical cooperation agency jointly funded by the United Nations and the World Trade Organization (WTO) to stimulate exports by small and medium-sized enterprises in developing countries and countries with economies in transition.

2. The Board of Auditors has audited the financial statements of ITC and has reviewed its operations for the year ended 31 December 2024 in accordance with General Assembly resolution 74 (I) of 1946. The audit was conducted in conformity with the Financial Regulations and Rules of the United Nations, as well as the International Standards on Auditing and the International Standards of Supreme Audit Institutions for the financial audit of public sector entities. The latter standards require that the Board comply with ethical requirements and plan and perform the audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement.

3. The audit was conducted primarily to enable the Board to form an opinion as to whether the financial statements present fairly the financial position of ITC as at 31 December 2024 and its financial performance and cash flows for the year then ended, in accordance with the International Public Sector Accounting Standards (IPSAS). This included an assessment as to whether the expenditure recorded in the financial statements had been incurred for the purposes approved by the governing bodies and whether revenue and expenses had been properly classified and recorded in accordance with the Financial Regulations and Rules of the United Nations. The audit included a general review of financial systems and internal controls and a test examination of the accounting records and other supporting evidence to the extent that the Board considered necessary to form an opinion on the financial statements.

4. The Board also reviewed ITC operations under financial regulation 7.5 of the Financial Regulations and Rules of the United Nations. This regulation requires that the Board make observations with respect to the efficiency of the financial procedures, the accounting systems and internal financial controls and, in general, the administration and management of ITC operations.

5. The audit was conducted on site from 1 April to 4 May 2025 at ITC headquarters in Geneva.

6. The present report covers matters that, in the opinion of the Board, should be brought to the attention of the General Assembly. The Board’s report was discussed with ITC management, whose views have been appropriately reflected.

B. Findings and recommendations

1. Follow-up on previous recommendations

7. The Board followed up on the implementation of previous recommendations. Of 16 outstanding recommendations up to the financial year ended 31 December 2023, ITC had implemented 9 recommendations (56 per cent), while 6 (38 per cent) were under implementation and 1 (6 per cent) had been overtaken by events. The details are shown in table II.1.

Table II.1
Status of implementation of recommendations

	Report of the Board of Auditors						
Status	*A/74/5 (Vol. III) 2018*	*A/75/5 (Vol. III) 2019*	*A/76/5 (Vol. III) 2020*	*A/77/5 (Vol. III) 2021*	*A/78/5 (Vol. III) 2022*	*A/79/5 (Vol. III) 2023*	*Total*
Open recommendations as at 31 December 2023	1	2	1	2	3	7	16
Status of implementation							
(a) Implemented	–	–	1	2	1	5	9
(b) Under implementation	1	2	–	–	2	1	6
(c) Not implemented	–	–	–	–	–	–	–
(d) Overtaken by events	–	–	–	–	–	1	1
Recommendations open as at 31 December 2024	1	2	–	–	2	1	6

8. The annex to chapter II of the present report contains details on the status of implementation of previous recommendations. The Board carried out an analysis of the recommendations open as at 31 December 2024 and noted that two fell under human resources management; three concerned project management; and one was related to strategic management.

9. With regard to the ageing of open recommendations, three (50 per cent) had been pending for more than three years; two (33 per cent) were two years old; and one (17 per cent) was made one year ago.

2. Financial overview

Financial position

10. As at 31 December 2024, the net assets of ITC remained negative, at -$23.44 million (2023: -$12.64 million). Total assets increased by $87.87 million (23 per cent) from $374.10 million as at 31 December 2023 to $461.97 million as at 31 December 2024, which was attributable mainly to the increase in current and non-current voluntary contributions receivable from $198.87 million to $274.87 million.

11. ITC reported total liabilities of $485.41 million as at 31 December 2024 (2023: $386.74 million). This increase was attributed mainly to the increase in non-current liabilities for conditional arrangements, which went up from $140.48 million as at 31 December 2023 to $199.39 million as at 31 December 2024, and non-current employee benefits liabilities, which went up from $160.48 million as at 31 December 2023 to $182.94 million as at 31 December 2024. The accumulated deficit increased from $32.91 million as at 31 December 2023 to $49.01 million as at 31 December 2024.

Financial performance

12. ITC reported a surplus of $5.37 million for the year ended 31 December 2024 (2023: surplus of $0.74 million). Revenue in 2024 totalled $177.67 million (2023: $159.53 million), the majority of which was voluntary contributions of $120.51 million (2023: $108.10 million) and assessed contributions of $43.25 million (2023: $40.33 million).

13. ITC reported expenses of $172.30 million for the year ended 31 December 2024 (2023: $158.78 million). As in previous years, the majority of expenses related to employee salaries, allowances and benefits ($86.04 million in 2024; $79.91 million in 2023). Non-employee compensation and allowances were reported as $28.24 million (2023: $30.25 million) and other operating expenses were $27.46 million (2023: $25 million). The expenses also included travel, grants and other transfers, supplies and consumables, depreciation, amortization, other expenses and share of joint arrangement. Table II.2 shows the Board's analysis of ITC expenses.

Table II.2
Expenses of the International Trade Centre for the years ended 31 December 2023 and 31 December 2024

(Thousands of United States dollars)

	2024		*2023*	
Expense type	*Thousands of United States dollars*	*Percentage of total*	*Thousands of United States dollars*	*Percentage of total*
Employee salaries, allowances and benefits	86 042	49.94	79 911	50.3
Non-employee compensation and allowances, excluding travel costs	28 235	16.39	30 254	19.1
Travel, including non-employee travel	10 514	6.10	9 542	6.0
Grants and other transfers	14 934	8.67	8 724	5.5
Supplies and consumables	1 018	0.59	698	0.4
Depreciation	161	0.09	185	0.1
Amortization	682	0.40	820	0.5
Other operating expenses	27 456	15.93	25 001	15.8
Other expenses	3 243	1.88	3 565	2.2
Share of joint arrangement	17	0.01	84	0.05
Total	**172 302**	**100**	**158 784**	**100**

Source: Based on data provided by ITC.

Financial analysis

14. As part of the financial analysis, the Board assessed the Centre's financial ratios (see table II.3).

Table II.3
Ratio analysis

Ratio	*31 December 2024*	*31 December 2023*
Cash ratio[a] (cash + short-term investments to current liabilities)	1.27	1.48
Quick ratio[b] (cash + investments + accounts receivable to current liabilities)	2.73	2.76
Current ratio[c] (current assets to current liabilities)	2.87	2.92
Solvency ratio[d] (total assets to total liabilities)	0.95	0.97

Source: ITC 2023 and 2024 financial statements.

[a] The cash ratio is an indicator of an entity's liquidity by measuring the amount of cash, cash equivalents or invested funds are available in current assets to cover current liabilities. A high ratio indicates strong short-term solvency.

[b] The quick ratio is more conservative than the current ratio because it excludes inventory and other current assets, which are more difficult to turn into cash. A higher ratio means a more liquid current position.

[c] A high ratio indicates an entity's ability to pay off its short-term liabilities.

[d] A high ratio is a good indicator of solvency. The solvency ratio should generally be at least 1.0 in the long term.

15. The Board noted that the cash ratio, the quick ratio and the current ratio had decreased compared with the previous year, owing mainly to the increase in liabilities for conditional arrangement in 2024. The solvency ratio decreased compared with 2023, but the change was negligible. The Board agrees with the assertion of ITC that it remains a going concern.

3. Financial management

Inadequate management of rapidly growing operating reserves

16. As provided in the administrative instruction on programme support accounts (ST/AI/286) issued by the Secretariat on 3 March 1982, all United Nations entities are required to maintain an operating reserve at the level of 20 per cent of estimated programme support costs, with a view to ensuring the financial sustainability and continuity of programme activities in the face of unforeseen circumstances.

17. As indicated in chapter V of the present report, the trust fund operating reserve of ITC is maintained to cover delays in payment of voluntary contributions and to meet shortfalls of revenue over final expense of the trust funds based on an assessment of the financial risks and needs associated with ITC trust fund operations.

18. The operating reserve of ITC consists of three primary components: (a) trust fund reserves, which accumulated primarily from interest income and residual donor balances; (b) reserves derived from a 20 per cent adjustment to programme support costs; and (c) fair value. The balance of the operating reserve amounted to $15.42 million at 31 December 2022, $20.27 million at 31 December 2023 and $25.57 million as at 31 December 2024.

19. The Board noted that the portion of operational reserves derived from programme support costs remained relatively stable over the period from 2022 to 2024, whereas the trust fund component demonstrated a significant and consistent increase, averaging approximately $5 million per year. For example, in 2024, the trust fund reserves increased by $5.27 million, comprising $0.31 million in transferred residual donor balances and $4.96 million in interest. The net assets of ITC continued

to decline, from -$8.03 million in 2022 to -$12.64 million in 2023, and then to -$23.44 million in 2024.

20. ITC explained that the negative net asset position resulted from employee liabilities, while the growth in operating reserves helps offset the negative net asset position and ensures liquidity. Although ITC lacks a formal reserve policy, existing practices were implemented in a consistent and standardized manner.

21. The Board is of the view that the Centre's operating reserves have increased rapidly, primarily due to interest income and the transfer of residual donor balances. Given that these reserves constitute an important component of the Centre's net assets, enhanced oversight, management and strategic utilization are necessary to ensure effective financial governance.

22. **The Board recommends that ITC develop a structured framework for the management and utilization of operating reserves.**

23. ITC accepted the recommendation.

Inadequate management of bank account information in payment processing

24. In the standard operating procedure for processing of bank account information of contractors developed by the Department of Operational Support, it is stated that, when a procurement official receives a request from a contractor to change bank account information, the official must ensure that the request is sent in a new email that contains the correct contact details (as stated in the contract) and includes the authorized signature. The procurement official is also required to ensure that the request contains no visible indications of fraud (e.g., incorrect email address). To verify the legitimacy of the request, the procurement official should confirm the information, by email and phone, with two contractor representatives.

25. The Board noted that ITC received a fraudulent email from a scammer who modified a single word of the actual email address and changed the bank account details in two requests. Notably, the second request lacked an authorized signature. Despite those red flags, ITC processed the bank account change and executed payment of $79,650 without fulfilling the verification requirement in the standard operating procedure of confirming the change with two separate contractor representatives through different communication channels. As a result, funds were transferred to a fraudulent account, causing a financial loss of $79,650.

26. The Board is of the view that non-compliance with the standard operating procedure significantly increases the risk of fraud and financial mismanagement. Supplementary verification may be warranted for sensitive payments, particularly in cases involving frequent modifications to bank account details.

27. **The Board recommends that ITC strengthen review of payment procedures to ensure compliance with the standard operating procedure and that it conduct supplementary verification for sensitive payments.**

28. ITC accepted the recommendation.

4. Programme and project management

Non-achievement of the A-indicator target in the strategic plan for 2022–2025

29. One of the commitments set out in the ITC strategic plan for 2022–2025 is to enhance the trade competitiveness of micro-, small and medium-sized enterprises by providing technical expertise in four key service areas. A more conducive policy and regulatory environment for micro-, small and medium-sized enterprises is the third of the four key service areas. The performance of ITC in the four key service areas is

measured by two indicators: A3 and A4. Indicator A3 is used to measure the number of policies, strategies, rules and regulations that are developed or improved, with business sector input, for the benefit of micro-, small and medium-sized enterprises and endorsed as a result of ITC support. Indicator A4 is used measure the number of policies, strategies, rules and regulations that are developed or improved, with business sector input, for the benefit of micro-, small and medium-sized enterprises and promulgated or implemented as a result of ITC support.

30. The Board noted that ITC did not set specific annual quantitative targets for indicator A3 for the period 2022 to 2024. It also noted that "piloting" was the designation given to the target. During this period, a total of 152 A3-linked projects were implemented, with an aggregate budget of $152.63 million and an average budget execution rate of 103.12 per cent (see table II.4).

Table II.4
Statistics of A3-linked projects

Year	*A3-linked projects*	*Budget (millions of United States dollars)*	*Budget execution rate (percentage)*
2022	40	44.75	104.16
2023	49	49.18	102.50
2024	63	58.70	102.85
Total	**152**	**152.63**	**103.12**

Source: Project portal (ITC intranet).

31. The Board also noted that ITC set specific and quantifiable annual targets for indicator A4, totalling 260 for the period 2022 to 2024. Despite downward adjustments to the annual A4 targets over the past three years, none of the targets were achieved in the period 2022 to 2024. Only 132 A4 outcomes were completed overall, representing a cumulative completion rate of 50.77 per cent (see table II.5). In addition, the number of projects linked to indicator A4 declined over the same period.

Table II.5
Annual target performance and A4-linked projects

Year	*Policy targets*	*Completed policies*	*Completion rate (percentage)*	*A4-linked projects*	*Budget (millions of United States dollars)*	*Budget execution rate (percentage)*
2022	110	58	52.73	41	33.18	122.74
2023	90	46	51.11	37	35.06	95.77
2024	60	28	46.67	26	32.11	105.59
Total	**260**	**132**	**50.77**	**104**	**100.35**	**107.83**

Source: Project portal (ITC intranet) and Consultative Committee of the ITC trust fund reports.

32. The Board is of the view that indicators A3 and A4 serve as key performance measures for ITC core operations and are critical to achieving the Centre's strategic objectives. The absence of quantifiable targets for A3 limits the ability to assess project effectiveness and efficiency. In addition, A4 has consistently fallen short of its targets, potentially weakening impact in fostering a conducive policy and regulatory environment and hindering progress towards enhancing the trade

competitiveness of micro-, small and medium-sized enterprises, as set out in the Centre's strategic plan.

33. **The Board recommends that ITC conduct a comprehensive assessment of progress and effectiveness in achieving the targets for indicators A3 and A4 in order to ensure that strategic objectives are met.**

34. ITC accepted the recommendation.

Insufficient self-assessment in project completion reports

35. According to the ITC evaluation policy (2015), a project completion report should describe, as objectively as possible, planned and actual costs, planned and actual outputs and results, lessons learned and other issues.

36. Trade-related technical assistance projects constituted the majority of the Centre's project portfolio. As at 31 December 2024, there were 676 projects in total, of which 520 were trade-related technical assistance projects, accounting for 76.92 per cent of the project portfolio. In 2024, 54 trade-related technical assistance projects were closed, with a total approved budget of $127 million.

37. The Board sampled 19 out of the 54 trade-related technical assistance projects, each with a budget exceeding $2 million. These 19 projects accounted for 81.89 per cent of the total budget of the 54 projects, had a budget execution rate of 97.84 per cent and collectively established 746 indicators. The Board noted that 203 indicators were not achieved, accounting for 27.21 per cent of the total established indicators.

38. The Board reviewed 12 project completion reports from the 19 sampled projects (the remaining 7 were not yet due for submission). It noted that nine did not assess or report on unachieved indicators. In addition, the self-assessed ratings in these project completion reports were not aligned with the monitoring data reported in the results monitoring table. Of the 12 projects, 7 were rated as "highly satisfactory" under the "effectiveness" section, which is defined as achieving overwhelmingly positive results and no flaws, despite each project having unachieved indicators. Justifications for such ratings were not presented in a consistent or substantiated manner across the project completion reports.

39. The Board is of the view that the project completion report is a critical tool for assessing the achievement of expected results and capturing lessons learned. Non-disclosure of unachieved indicators and inconsistent use of monitoring data, however, reduce the effectiveness of this tool and limit the ability of management and stakeholders to accurately assess project delivery and take remedial actions where applicable.

40. **The Board recommends that ITC review and update the template and instructions for project completion reports in order to better equip project managers to report systematically and objectively.**

41. ITC accepted the recommendation.

Inadequate management of implementing partner data

42. In section 9 of the Centre's procedures for the approval and payment of grants (ITC/AI/2007/06), it is stated that ITC will maintain a database of implementing institutions and beneficiaries of grants, both to keep a record of institutions and facilitate the selection of institutions for further projects.

43. In sections 6.1 and 6.3 of the Centre's policy on the identification and selection of implementing partners and grantees (see ITC/AI/2019/02), it is stated that a risk and capacity assessment should be conducted for all preidentified or shortlisted

implementing partners to support an informed and objective selection by project managers. There is an exception for entities with a positive collaboration record with ITC in the past five years.

44. The Board noted that the Centre's grant-out expenditure increased from $8.72 million in 2023 to $14.93 million in 2024, representing an increase of 71.2 per cent and indicating a greater reliance on subcontracting to implementing partners. The Board sampled 51 out of 262 grant-out memorandums of understandings and circulated a questionnaire to fully assess the implementing partner engagement process. A total of 32 valid responses (62.75 per cent) were received. On the basis of its review of implementing partner management practices, the Board identified the following deficiencies:

(a) inadequate utilization of databases for implementing partner management; and

(b) incomplete disclosure of implementing partners.

45. With regard to the utilization of databases for implementing partner management, the Board noted a discrepancy between the Centre's two primary implementing partner management systems. In 2024, 67 grant-out memorandums of understanding were recorded in the database for managing legal instruments, but only 15 (22.4 per cent) of those were registered in Umoja.

46. The Board also noted that the current approach to implementing partner selection was decentralized and largely relied on project managers' institutional knowledge and prior experience with specific partners. While this approach supported continuity, it limited consistency and objectivity, in particular owing to the insufficient use of broader evaluation records, which are recorded, as mentioned above, in the legal instruments database and in Umoja.

47. The Board further noted multiple cases of underperformance by implementing partner, including staffing shortages, weak reporting, poor planning and inadequate time management. The following case illustrates those deficiencies in detail.

48. In 2024, ITC signed a grant-out memorandum of understanding with an implementing partner that was extended in 2025 to complete outstanding activities. The memorandum of understanding was signed despite the fact that, in 2024, the implementing partner's status in the United Nations Partner Portal was "verification failed", indicating that the partner had not passed the required eligibility verification process. In addition, a 2022 purchase order issued to the same implementing partner was not fulfilled and later terminated in 2024.

49. With regard to incomplete disclosure of implementing partners, the Board noted that ITC is a registered publisher with the International Aid Transparency Initiative, which offers entities a platform for publishing all significant data related to their projects, including information on participating organizations, in accordance with the standards of the Initiative.

50. The Board sampled 11 out of 19 trade-related technical assistance projects that were closed in 2024. Each project had a budget exceeding $2 million. The 11 projects involved a total of 38 implementing partners, of which 25 (65.79 per cent) were not disclosed on the Centre's external Open Data Portal, indicating incompleteness and insufficient transparency in disclosure.

51. The Board is of the view that the current utilization of implementing partner management tools is limited, with fragmented and incomplete data on implementing partners. Historical performance data is not fully utilized, and that is not conducive to effective implementing partner management.

52. **The Board recommends that ITC enhance the use of existing systems to consolidate partner information, including historical performance and risk data, to support effective partner selection, oversight and performance monitoring and timely disclosure of implementing partner information, in line with its transparency commitments.**

53. ITC accepted the recommendation.

5. Human resources management

Deficiencies in the management of experts on non-reimbursable loan

54. In the Secretariat's process guide on the engagement and administration of type I gratis personnel and experts on non-reimbursable loan, it is stated that entities seeking nominations may use the note verbale process to inform all Member States of their requirements. The requesting office submits its needs to the head of entity or the subdelegate specifying the services required, accompanied by a job description detailing duties, functions and loan duration, in order to attract a donor (a Member State or an external entity).

55. It is also stated in the process guide that the use of gratis personnel offers mutual benefits to the organization and donor Member States. These include gaining access to expertise not readily available inside the Organization, strengthening strategic partnerships and leveraging national expertise and best practices.

56. The Board reviewed the documentation related to experts on non-reimbursable loan available on the ITC intranet and noted that, in the period from 2017 to 2024, the Centre recruited a total of nine technical experts under the non-reimbursable loan modality, eight of whom were seconded from the same Government. Four of those experts served in the Division of Enterprises, Competitiveness and Institutions and five in the Division of Market Development. The duration of their service ranged from six months to three years.

57. The Board noted that ITC follows a three-step recruitment process for experts on non-reimbursable loan: (a) the donor identifies the required profile and work area and ITC proposes draft job descriptions for selection; (b) the donor conducts initial screening and submits a shortlist of at least two candidates to ITC; and (c) ITC conducts the final assessment and recommends a candidate for approval by the Executive Director.

58. The Board further noted that, since February 2020, one donor had continuously seconded technical experts for a P-4 level position in the Division of Enterprises, Competitiveness and Institutions under a non-reimbursable loan arrangement. The first expert served from February 2020 to February 2023, followed by another expert in the same role from February 2023 to March 2026. A similar case from 2024 involving the same donor was also identified.

59. The Board was informed that, although the Centre is not a department of the Secretariat, the management of experts on non-reimbursable loan at ITC remains subject to the applicable regulations of the Secretariat.

60. The Board is of the view that ITC did not avail itself of the option to solicit nominations through the note verbale process, which might have resulted in a larger pool of sponsoring governments. Instead, the recruitment process was initiated by the donor, which may have limited the transparency, openness and competitiveness of the process. Consequently, there was a lack of donor diversity, resulting in positions being filled consistently by experts on non-reimbursable loan from a single donor over an extended period.

61. **The Board recommends that ITC enhance the recruitment process for experts on non-reimbursable loan through outreach, in order to attract a larger base of potential sponsoring governments.**

62. ITC accepted the recommendations.

Deficiencies in the management of consultants and individual contractors

63. In paragraph 4.1 of the Centre's administrative instruction on consultants and individual contractors (ITC/AI/2022/01), it is stated that, when the services of a contractor are initially needed for a period of more than six months, a contractor opening shall be advertised for a minimum period of seven working days.

64. The Board noted that ITC awarded a total of 7,157 contracts to consultants and individual contractors from 2022 to 2024, involving 2,828 individuals and a cumulative contract value of $72.43 million. A total of 695 consultants and individual contractors were awarded more than one contract.

65. The Board further noted that 136 consultants and individual contractors were engaged under successive short-term contracts totalling $6.12 million, each lasting less than six months but with a cumulative duration exceeding six months. For instance, one consultant was awarded five consecutive five-month contracts between 2022 and 2024, with a total value of $103,500.

66. ITC explained that, after inquiring with the consultants and individual contractors' managers, the main reasons for the shorter contracts related to additional work required after the initial contract and funding issues.

67. The Board is of the view that ITC is highly dependent on consultants and individual contractors. The practice of using successive short-term contracts, where a single contract exceeding six months could be issued, may fragment longer-term needs into smaller engagements. This approach may negatively affect the transparency and competitiveness of the recruitment process and increase the administrative burden on human resources management.

68. **The Board recommends that ITC strengthen monitoring of the contract duration for consultants and individual contractors, in particular successive short-term contracts, to ensure compliance with the requirement to advertise contracts exceeding six months.**

69. ITC accepted the recommendation.

C. Transmissions of information by management

1. Write-off of losses of cash, receivables and property

70. ITC reported that it had written off $126,761 related to donation of partially depreciated equipment (net book value $31,450) as a result of project closures and non-recoverable receivables of $13,872 during the year ended 31 December 2024.

2. Ex gratia payments

71. ITC reported no ex gratia payments for the year ended 31 December 2024.

3. Cases of fraud, presumptive fraud and financial mismanagement

72. ITC identified one case of fraud involving phishing and a payment scam, which included the registration of fraudulent banking details, for a total amount of $79,650 for the year ended 31 December 2024.

D. Acknowledgement

73. The Board wishes to express its appreciation for the cooperation and assistance extended to its staff by the Executive Director and staff of ITC.

(*Signed*) Pierre **Moscovici**
First President of the French Cour des Comptes
Chair of the Board of Auditors

(*Signed*) **Hou** Kai
Auditor General of the People's Republic of China
(Lead Auditor)

(*Signed*) Vital **do Rego Filho**
President of the Brazilian Federal Court of Accounts

23 July 2025

Annex

Status of implementation of recommendations up to the financial year ended 31 December 2023

No.	*Audit report year*	*Report reference*	*Board's recommendation*	*ITC response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
1.	2018	A/74/5 (Vol. III), chap. II, para. 48	Incorporate the standard provisions in all memorandums of understanding, in particular, conditionality for payment in the case of projects with training components. Also consider incorporation of the provision linking the future relationship with a grantee to timely submission of a long-term impact report to the satisfaction of ITC.	The provision requiring the grantee to provide all pertinent proof for release of payment, including a list of participants and other relevant supporting financial documentation, has been incorporated as a standard component in the Centre's grant memorandum of understanding template. The revised grant memorandum of understanding template includes a checklist of all necessary documents that must be collected before payments are requested and approved. ITC revised the grant memorandum of understanding template to include a clause requiring recipients of large grants to provide reports if they wish to be considered for future ITC grants.	Given that the administrative instruction on grants is in the process of being reviewed, this recommendation is considered to be under implementation.		X		
2.	2019	A/75/5 (Vol. III), chap. II, para. 26	Have a well-documented and adequately tested business continuity plan to effectively mitigate risks of work interruptions posed by disruptive events.	ITC has a disaster recovery plan and some policy and guidance documents that enabled the Centre to quickly adjust its operations in response to the coronavirus disease pandemic, but it has no business continuity plan as such. Renewed efforts to develop such a plan began in January 2025.	Given that the business continuity plan is being developed, this recommendation is considered to be under implementation.		X		
3.	2019	A/75/5 (Vol. III), chap. II, para. 78	Adhere to the provisions of the grant memorandum of understanding template, in particular, conditionality for payment in the case of projects with training components.	See response to A/74/5 (Vol. III), chap. II, para. 48.	Given that the correction is still in process, this recommendation is considered to be under implementation.		X		

No.	Audit report year	Report reference	Board's recommendation	ITC response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
4.	2020	A/76/5 (Vol. III), chap. II, para. 60	Adopt corrective measures to improve compliance with the advance ticket purchase policy.	The Senior Management Committee has implemented tight control measures and put in place clear accountability mechanisms at all levels to ensure improved compliance with the advance ticket purchase policy. The Centre has amended its travel policy to include these stricter controls on non-compliance, resulting in an improved rate of compliance. Total compliance cannot be achieved owing to the operational imperatives of ITC.	Given that the data are available and the updated policy is in place, this recommendation is considered implemented.	X			
5.	2021	A/77/5 (Vol. III), chap. II, para. 40	Take measures to promote the timely completion of midterm reviews and ensure the integrity of the year-end review reports.	ITC has taken measures to promote the timely completion of midterm reviews, such as sending out reminders and conducting just-in-time training during the midpoint review period. Management dashboards have been created that assist managers in monitoring compliance. For the performance cycle ending in 2024, approximately 93 per cent of staff members had completed the midpoint review.	Given that the dashboards have been developed and in view of the progress made, this recommendation is considered implemented.	X			
6.	2021	A/77/5 (Vol. III), chap. II, para. 47	Review the current approach to the deployment of physical presence in the field and develop guidelines on opening project offices.	In 2024, ITC developed a country engagement and communication strategy, as well as guidelines for opening project offices. The Centre is in the process of establishing its first regional office in Nairobi.	Given that the strategy and guidelines for opening project offices have been developed and approved, this recommendation is considered implemented.	X			
7.	2022	A/78/5 (Vol. III), chap. II, para. 24	Update relevant delegations of authority and manage them through the United Nations online portal.	The Internal Audit Division of the Office of Internal Oversight Services issued an advisory regarding the internal control framework that includes a review of the authority delegated to ITC and the Centre's subdelegation structure. The delegation of	Given that no further information was provided, this recommendation is considered to be under implementation.		X		

No.	*Audit report year*	*Report reference*	*Board's recommendation*	*ITC response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
				authority portal is being used to record delegations of entities covered under the framework of the Secretary-General's bulletin on delegation of authority in the administration of the Staff Regulations and Rules and the Financial Regulations and Rules (ST/SGB/2019/2). ITC is not part of the framework and therefore not included in the online portal, although the Secretariat is considering expanding access to the portal to enable out-of-framework entities, such as ITC, to use it.					
8.	2022	A/78/5 (Vol. III), chap. II, para. 50	Implement measures to strengthen the accountability of all managers and ensure that staff members complete mandatory training on time.	Management dashboards have been created to assist managers in monitoring compliance and taking the appropriate follow-up actions. The data show that compliance is approximately 92 per cent.	Given that dashboards have been created and noting the actions taken and progress made, this recommendation is considered implemented.		X		
9.	2022	A/78/5 (Vol. III), chap. II, para. 54	Review those cases in which special post allowance for more than two years has been granted and ensure compliance with ITC administrative instruction ITC/AI/2014/13.	ITC has reviewed the cases in which a special post allowance had been granted for more than two years and the justifications for these exceptions (beyond the two years) have been recorded in each case. It should be noted that the Secretariat allows the granting of special post allowance for more than two years in special circumstances.	Given that there continue to be cases in which a special post allowance has been granted for more than two years and that ITC policies are in the process of being updated, this recommendation is considered to be under implementation			X	
10.	2023	A/79/5 (Vol. III), chap. II, para. 18	Capitalize the assets that were not capitalized in 2022 and 2023, with the total amount of $49,907.37, based on the ITC accounting policy.	ITC capitalized those assets at the end of December 2024, in accordance with financial year closure guidance. All 16 assets were capitalized with necessary action captured in Umoja.	Given that all 16 assets have been capitalized, this recommendation is considered implemented.		X		
11.	2023	A/79/5 (Vol. III), chap. II, para. 25	Introduce an approach to workforce planning and conduct an annual exercise in order to anticipate	Workforce planning will be one of the priorities of the human resources department, starting in the first quarter 2025. The human	Given that no further information was provided, this recommendation is			X	

No.	Audit report year	Report reference	Board's recommendation	ITC response	Board's assessment	Status after verification			
						Implemented	Under implementation	Not implemented	Overtaken by events
			workforce requirements and improve strategic decision-making as part of operational and budget planning.	resources department began work on workforce planning by participating in a meeting of the inter-agency community of practice on strategic workforce planning on 22 April 2024, and it has conducted market research into the best tool to utilize. In addition, an examination of existing long-term agreements has been conducted. ITC is in the final stage of collecting information to present to senior leadership for a decision.	considered to be under implementation.				
12.	2023	A/79/5 (Vol. III), chap. II, para. 31	Adhere to the administrative instructions on low-value acquisitions and ensure the correct coding of items.	The administrative instruction on low-value acquisitions was updated and promulgated in March 2025, with a view to ensuring that compliance is enforceable and allow for efficient project implementation. The administrative instruction includes sanctions whereby those in breach may be issued warnings that can be included in performance appraisals.	Given that ITC has released a new administrative instruction, this recommendation is considered implemented.		X		
13.	2023	A/79/5 (Vol. III), chap. II, para. 36	Strengthen the review of low-value acquisitions and ensure that if the estimated purchase amount is above $10,000, the requirement shall be submitted for procurement action to procurement services rather than split into multiple orders.	ITC has continued to enhance its monitoring tools and provide training to managers and certifying officers, in order to ensure full adherence to its low-value acquisitions policy. ITC has also reviewed low-value acquisitions, with a view to identifying and preventing any digression from good practices. Those in breach of the amended administrative instruction can be issued warnings, which could be included in performance appraisals.	Given that ITC has done much to review low-value acquisitions and released a new administrative instruction, this recommendation is considered implemented.		X		

No.	*Audit report year*	*Report reference*	*Board's recommendation*	*ITC response*	*Board's assessment*	*Status after verification*			
						Implemented	*Under implementation*	*Not implemented*	*Overtaken by events*
14.	2023	A/79/5 (Vol. III), chap. II, para. 43	Strengthen the review of low-value acquisitions and make efforts to aggregate similar requirements and replace the use of low-value acquisitions with a contract or a blanket purchase order.	ITC has reinforced the review of low-value acquisitions in order to identify recurrent requirements and aggregate similar requirements. In 2024, ITC launched some tenders that were used to set up system contracts and thereby avoid multiple low-value acquisitions.	Given that ITC has done much to review low-value acquisitions and released a new administrative instruction, this recommendation is considered implemented.	X			
15.	2023	A/79/5 (Vol. III), chap. II, para. 51	Review the policy on consultants and individual contractors to align with the requirement of project management and to avoid unnecessary administrative cost.	ITC began a review of its current policy on consultants and individual contractors and proposed aligning the workforce with the duration and needs of projects, but it was advised that doing so would require the endorsement of the General Assembly, which the Assembly was unlikely to give.	Given that the measures taken by ITC and the response from Headquarters have been reviewed, this recommendation is considered to have been overtaken by events.				X
16.	2023	A/79/5 (Vol. III), chap. II, para. 57	Conduct a review of the initial contract period for consultants and individual contractors to analyse whether a minimum of six months is the optimal period to require advertisement, evaluating the advantages and possible challenges of any change to the advertisement requirement.	In 2024, ITC conducted a review of the initial contract period for consultants and individual contractors, which indicated that the current practice of advertising when the initial period is more than six months is congruent with data analysis. In addition, this practice is aligned with Secretariat policy.	Given that, in 2024, ITC re-examined the duration of contracts that are longer than six months; considering that almost all contracts with a duration of more than six months were advertised in 2024; and noting the progress made, this recommendation is considered implemented.	X			
Total number of recommendations					**16**	**9**	**6**	**–**	**1**
Percentage of the total number of recommendations					**100**	**56**	**38**	**–**	**6**

Chapter III
Certification of the financial statements

Letter dated 31 March 2025 from the Assistant Secretary-General, Controller, addressed to the Chair of the Board of Auditors

The financial statements of the International Trade Centre for the year ended 31 December 2024 have been prepared in accordance with financial regulation 6.1 of the Financial Regulations and Rules of the United Nations.

The summary of significant accounting policies applied in the preparation of these statements is included as notes to the financial statements. The notes provide additional information and clarifications of the financial activities undertaken by the International Trade Centre during the period covered by these statements for which the Secretary-General has administrative responsibility.

I certify that the appended financial statements of the International Trade Centre, numbered I to V, are correct in all material respects.

(*Signed*) Chandramouli **Ramanathan**
Assistant Secretary-General, Controller

Chapter IV
Financial report for the year ended 31 December 2024[1]

[1] In the light of the liquidity situation affecting the regular budget of the United Nations and the related management measures implemented by the Secretary-General, chapter IV is made available online at https://digitallibrary.un.org/record/4090394.

Chapter V
Financial statements for the year ended 31 December 2024

International Trade Centre

I. Statement of financial position as at 31 December 2024

(Thousands of United States dollars)

	Reference	*31 December 2024*	*31 December 2023*
Assets			
Current assets			
Cash and cash equivalents	Note 4	20 550	22 058
Investments	Note 5	109 610	104 347
Voluntary contributions receivable	Note 6	150 777	109 824
Other accounts receivable	Note 6	–	7
Other assets	Note 7	14 243	13 712
Total current assets		**295 180**	**249 948**
Non-current assets			
Investments	Note 5	40 809	33 118
Voluntary contributions receivable	Note 6	124 088	89 043
Property, plant and equipment	Note 8	769	388
Intangible assets	Note 9	1 121	1 599
Total non-current assets		**166 787**	**124 148**
Total assets		**461 967**	**374 096**
Liabilities			
Current liabilities			
Accounts payable and accrued liabilities	Note 10	16 429	7 896
Liabilities for conditional arrangements	Note 11	79 679	71 725
Other liabilities	Note 11	749	735
Employee benefits liabilities	Note 12	6 008	5 229
Total current liabilities		**102 865**	**85 585**
Non-current liabilities			
Liabilities for conditional arrangements	Note 11	199 389	140 480
Employee benefits liabilities	Note 12	182 944	160 475
Share of joint arrangement	Note 19	213	199
Total non-current liabilities		**382 546**	**301 154**
Total liabilities		**485 411**	**386 739**
Net of total assets and total liabilities		**(23 444)**	**(12 643)**
Net assets			
Accumulated deficit		(49 013)	(32 914)
Operating reserves	Note 14	25 569	20 271
Total net assets		**(23 444)**	**(12 643)**

The accompanying notes form an integral part of these financial statements.

International Trade Centre

II. Statement of financial performance for the year ended 31 December 2024

(Thousands of United States dollars)

	Reference	*31 December 2024*	*31 December 2023*
Revenue			
Assessed contributions	Note 15	43 254	40 326
Voluntary contributions	Note 15	120 511	108 098
Other transfers and allocations	Note 15	5 871	3 145
Other revenue	Note 15	1 352	2 102
Investment revenue	Note 15	6 685	5 854
Total revenue		**177 673**	**159 525**
Expenses			
Employee salaries, allowances and benefits	Note 16	86 042	79 911
Non-employee compensation and allowances	Note 16	28 235	30 254
Travel	Note 16	10 514	9 542
Grants and other transfers	Note 16	14 934	8 724
Supplies and consumables	Note 16	1 018	698
Depreciation	Note 8	161	185
Amortization	Note 9	682	820
Other operating expenses	Note 16	27 456	25 001
Other expenses	Note 16	3 243	3 565
Share of joint arrangement	Note 19	17	84
Total expenses		**172 302**	**158 784**
Surplus/(deficit) for the year		**5 371**	**741**

The accompanying notes form an integral part of these financial statements.

International Trade Centre

III. Statement of changes in net assets for the year ended 31 December 2024

(Thousands of United States dollars)

	Accumulated surplus, restricted	*Reserves*	*Total*
Net assets as at 1 January 2023	**(23 456)**	**15 424**	**(8 032)**
Actuarial loss on employee benefits liabilities (note 12)	(6 414)	–	(6 414)
Surplus for the year	741	–	741
Transfers (Note 14)	(4 847)	4 847	–
Share of changes recognized in the net assets of joint arrangement (note 19)	(29)	–	(29)
Fair value changes in investments recognized directly in net assets (note 5)	1 091	–	1 091
Total recognized changes in net assets	**(9 458)**	**4 847**	**(4 611)**
Net assets as at 31 December 2023	**(32 914)**	**20 271**	**(12 643)**
Fair value transferred to reserves	**495**	**(495)**	**–**
Net assets as at 1 January 2024 (restated, note 2)	**(32 419)**	**19 776**	**(12 643)**
Actuarial loss on employee benefits liabilities (note 12)	(16 471)	–	(16 471)
Surplus for the year	5 371	–	5 371
Transfers (note 14)	(5 497)	5 497	–
Share of changes recognized in the net assets of joint arrangement (note 19)	3	–	3
Fair value changes in investments recognized directly in net assets (note 5)	–	296	296
Total recognized changes in net assets	**(16 594)**	**5 793**	**(10 801)**
Net assets as at 31 December 2024	**(49 013)**	**25 569**	**(23 444)**

The accompanying notes form an integral part of these financial statements.

International Trade Centre

IV. Statement of cash flows for the year ended 31 December 2024

(Thousands of United States dollars)

	Reference	*31 December 2024*	*31 December 2023*
Cash flows from operating activities			
Surplus/(deficit) for the year		**5 371**	**741**
Non-cash movements			
Depreciation and amortization	Notes 8 and 9	843	1 005
Actuarial loss/gain on employee benefits liabilities	Note 12	(16 471)	(6 414)
Loss on disposal of assets	Note 8	32	–
Loss/gains on share of joint arrangement	Note 19	3	(29)
Unrealized loss on cash pool revaluation	Note 15	296	1 091
Changes in assets			
(Increase)/decrease in voluntary contributions receivable	Note 6	(75 998)	(30 073)
Decrease/(increase) in other accounts receivable	Note 6	7	170
(Increase)/decrease in other assets	Note 7	(531)	(897)
Changes in liabilities			
(Decrease)/increase in accounts payable and accrued liabilities	Note 10	8 533	(3 356)
Increase/(decrease) in employee benefits liabilities	Note 12	23 248	11 539
Increase/(decrease) in liabilities for conditional arrangements	Note 11	66 863	39 907
(Decrease)/increase in other liabilities	Note 11	14	(567)
Increase/(decrease) in shares of joint arrangement	Note 19	14	113
Investment revenue presented as investing activities	Note 15	(6 685)	(5 854)
Net cash flows from/used in operating activities		**5 539**	**7 376**
Cash flows from investing activities			
Pro rata share of net increases in the cash pool	Note 5	(12 954)	(12 864)
Investment revenue presented as investing activities	Note 15	6 685	5 854
Acquisitions of property, plant and equipment	Note 8	(574)	–
Acquisitions of intangibles	Note 9	(204)	(110)
Net cash flows used in/ from investing activities		**(7 047)**	**(7 120)**
Net increase in cash and cash equivalents		**(1 508)**	**256**
Cash and cash equivalents, beginning of year		22 058	21 802
Cash and cash equivalents, end of year	**Note 4**	**20 550**	**22 058**

The accompanying notes form an integral part of these financial statements.

International Trade Centre

V. Statement of comparison of budget and actual amounts for the year ended 31 December 2024

(Thousands of United States dollars)

	Publicly available budget			
	Original annual[a]	*Final annual*[b]	*Actual (budget basis)*[c]	*Difference (percentage)*[d]
Revenue				
Assessed contributions from the United Nations	21 658	21 658	21 632	(0.1)
Assessed contributions from the World Trade Organization	21 658	21 658	21 632	(0.1)
Other revenue	229	229	269	18.0
Total revenue	**43 545**	**43 545**	**43 533**	**–**
Expenses				
Posts	34 096	34 096	34 419	0.9
Non-post	9 449	9 449	9 114	(3.5)
Total expenses	**43 545**	**43 545**	**43 533**	**–**
Surplus for the year	**–**	**–**	**–**	**–**

[a] The original annual budget is the lower of the budget approved by the General Assembly (resolution 78/253) or by the General Council of WTO (WT/BFA/217 and WT/GC/M/208).

[b] The final annual budget is the same as the original as there were no subsequent decisions of the General Assembly or the General Council of WTO related to the 2024 ITC budget.

[c] Actual expenditure reflects the amounts funded by regular budget contributions as well as miscellaneous income.

[d] Actual expenditure (comparable budget basis) less final budget. Differences greater than 10 per cent and material are considered in the financial report of the Executive Director.

The accompanying notes form an integral part of these financial statements.

International Trade Centre
Notes to the financial statements

Note 1
Reporting entity

International Trade Centre and its activities

1. The International Trade Centre (ITC) is responsible for the business aspects of trade development, as the joint technical cooperation agency of the United Nations and the World Trade Organization (WTO). The mandate derives from the priorities established by the contracting parties to the General Agreement on Tariffs and Trade on 19 March 1964 and the General Assembly in its resolution 2297 (XXII) on 12 December 1967. Since 1 January 1968, ITC has operated under the joint auspices of the General Agreement/WTO and the United Nations. In its resolution 1819/LV of 9 August 1973, the Economic and Social Council reaffirmed the Centre's mandate as the focal point for technical assistance and cooperation activities for trade promotion within the United Nations system of assistance for developing countries.

2. The objective to which ITC contributes is to enhance inclusive and sustainable growth and development through trade and international business development for micro-, small and medium-sized enterprises in developing countries, in particular the least developed countries and countries with economies in transition, through increased business capacities of those enterprises to trade and through a conducive business environment and strengthened institutional ecosystems for those enterprises. The Centre's work is demand driven and client oriented. ITC provides tailored support, aligned with national objectives, to grow trade opportunities for its client micro-, small and medium-sized enterprises, business support organizations and policymakers in developing and least developed countries and to improve trade competitiveness, reduce poverty, and strengthen economies.

3. ITC operates, from an administrative point of view, on the basis of arrangements agreed upon between the United Nations and the General Agreement/WTO. These arrangements were subsequently reviewed and updated in 1998, 1999, 2004, with the most recent revision approved in 2024.

4. ITC is headed by an Executive Director, who is appointed by and reports to the Director General of WTO and the Secretary-General of UNCTAD. A Senior Management Committee comprises the Executive Director, the Deputy Executive Director, the Directors of the five ITC divisions, the Chief Adviser in the Office of the Executive Director and the Chief of Strategic Planning, Performance and Governance. The ITC programme of work is reviewed annually by the Joint Advisory Group, the main intergovernmental advisory forum of ITC, which is open to members of UNCTAD and WTO. The WTO General Council and the UNCTAD Trade and Development Board review the report and recommendations of the Joint Advisory Group annually. Both UNCTAD and WTO are represented in the Joint Advisory Group supervising the Centre's work and have a number of joint technical assistance activities with ITC.

5. The regular budget of ITC is jointly and equally financed by the United Nations and WTO. ITC secures additional extrabudgetary resources to support its mission. These contributions come from pledges by various entities, such as donor Governments, governmental organizations, international bodies and civil society, including non-governmental organizations, businesses, and foundations.

6. ITC is regarded as a separate reporting entity and is not deemed to be subject to common control for the purposes of IPSAS-compliant reporting.

7. ITC participates in a jointly financed activity with other United Nations system organizations. Its share of the activity is recognized in its financial statements using the equity method.

8. The headquarters of ITC is in Geneva, and it maintains leased offices in 29 countries.

Note 2
Basis of preparation and authorization for issue

9. The accounts of ITC are maintained in accordance with the Financial Regulations of the United Nations as adopted by the General Assembly of the United Nations, the rules formulated by the Secretary-General as required under the Regulations and administrative instructions issued by the Under-Secretary-General for Management Strategy, Policy and Compliance or by the Controller. The financial statements of ITC are prepared on the accrual basis of accounting in accordance with IPSAS. In accordance with the requirements of IPSAS, these financial statements, which present fairly the assets, liabilities, revenue and expenses of ITC, consist of the following:

(a) Statement I: statement of financial position.

(b) Statement II: statement of financial performance.

(c) Statement III: statement of changes in net assets.

(d) Statement IV: statement of cash flows using the indirect method.

(e) Statement V: statement of comparison of budget and actual amounts.

(f) Summary of significant accounting policies and other explanatory notes.

(g) Comparative information in respect of all amounts presented in the financial statements indicated in subparagraphs (a) to (d) above and where relevant, comparative information for narrative and descriptive information presented in the notes to these financial statements.

Going concern

10. The financial statements have been prepared on a going-concern basis and the accounting policies, as summarized in note 3, have been applied consistently in the preparation and presentation of these financial statements. The going-concern assertion is based on the approval by the General Assembly and the General Council of WTO of the regular budget appropriations for fiscal year 2025, the positive historical trend of collection of assessed and voluntary contributions over the past years and the fact that the General Assembly and the General Council of WTO have not made any decision to cease the operations of ITC.

Functional and presentation currency

11. The functional and presentation currency of ITC is the United States dollar. The financial statements are expressed in thousands of United States dollars unless otherwise stated.

12. The regular budget of ITC is approved and assessed in Swiss francs.

13. Transactions in currencies other than the functional currency (foreign currencies) are translated into United States dollars at the United Nations operational rate of exchange at the date of the transaction. The United Nations operational rates of exchange approximate the spot rates prevailing at the dates of the transactions. At year-end, monetary assets and liabilities denominated in foreign currencies are

translated at the United Nations operational rates of exchange. Non-monetary foreign currency denominated items that are measured at fair value are translated at the United Nations operational rate of exchange at the date on which the fair value was determined. Non-monetary items measured at historical cost in a foreign currency are not translated at year-end.

14. Foreign exchange gains and losses resulting from the settlement of transactions in currencies other than the Centre's functional currency and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognized in the statement of financial performance on a net basis.

Materiality and use of judgment and estimation

15. Consideration of materiality is central to the development of accounting policies and the preparation of financial statements. In general, an item is considered material if its omission or its aggregation would affect the conclusions or decisions of the users of the financial statements.

16. The preparation of financial statements in accordance with IPSAS requires the use of estimates, judgments and assumptions in the selection and application of accounting policies and in the reported amounts of certain assets, liabilities, revenue and expenses. Accounting estimates and underlying assumptions are reviewed on an ongoing basis, and revisions to estimates are recognized in the year in which the estimates are revised and in any future year affected. Significant estimates and assumptions that may result in material adjustments in future years include accruals; the selection of useful lives and the depreciation and amortization methods for property, plant and equipment and intangible assets; the impairment of assets; actuarial measurement of employee benefits; the classification of financial instruments and of contingent assets and liabilities; and inflation and discount rates used in the calculation of the present value of provisions.

Measurement basis

17. These financial statements are prepared using the historical-cost convention, except for investments held in the cash pool recorded at fair value through net assets and derivatives held at fair value through surplus and deficit. The financial statements are prepared for the year from 1 January to 31 December.

Authorization for issue

18. These financial statements are certified by the United Nations Assistant Secretary-General, Controller, and approved by the Secretary-General of the United Nations. In accordance with United Nations financial regulation 6.2 the Secretary-General is required to transmit these financial statements as at 31 December 2024 to the Board of Auditors by 31 March 2025. In accordance with financial regulation 7.12 the reports of the Board of Auditors are to be transmitted to the General Assembly through the Advisory Committee on Administrative and Budgetary Questions together with the audited financial statements.

Prior period reclassification

19. During the financial year ended 31 December 2023, the Centre adopted a policy of measuring its investments at fair value through net asset/equity. This change aligns with the requirements of IPSAS 41: Financial Instruments. As a result of this change, a deficit of $0.495 million was reclassified from unrestricted accumulated surplus to reserves. The reclassification made as at 1 January 2024 represents the initial adjustment to reflect the fair value of the investments separately. There was no

material impact on the financial statements other than a reclassification of the fair value reserve from accumulated surplus, within net assets.

Recent and future requirements of IPSAS

20. The progress and impact of the following significant future IPSAS Board accounting pronouncements on the Centre's financial statements continue to be monitored:

(a) Exposure draft 1, Climate-related Disclosures, proposes requirements for a public sector entity to disclose information about (a) climate-related risks and opportunities to its own operations, and (b) its climate-related public policy programmes and their outcomes.

(b) Exposure draft 92, Tangible Natural Resources, proposes accounting for tangible natural resources and fills a gap in the Board's framework.

(c) Oher IPSAS Board pronouncements issued during the year include:

(i) The project on Concessionary Leases and Other Arrangements Conveying Rights over Assets, in which the Board introduced amendments to IPSAS 43, 47 and 48. It was approved in June 2024 and will become effective in January 2027. Concessionary leases are leases at below-market rate and are very common in the public sector. The goal of the project was to enhance the transparency and comparability between financial statements of entities that acquire assets or right-to-use assets without the exchange of consideration.

(ii) Amendments to IPSAS Standards: Specific IFRIC Interpretations, which introduces additional guidance to clarify the application of existing accounting principles. These amendments were approved in December 2024 and are effective January 1, 2026.

(iii) Improvements to IPSAS, 2023, published in April 2024, includes minor improvements to accrual basis IPSAS that arise through publications of the International Accounting Standards Board.

21. The IPSAS Board issued the following standards:

(a) IPSAS 43: Leases, issued in January 2022 and effective 1 January 2025;

(b) IPSAS 44: Non-current assets held for sale and discontinued operations, issued in May 2022 and effective 1 January 2025;

(c) IPSAS 45: Property, plant and equipment, issued in May 2023 and effective 1 January 2025;

(d) IPSAS 46: Measurement, issued in May 2023 and effective 1 January 2025;

(e) IPSAS 47: Revenue, issued in May 2023 and effective 1 January 2026;

(f) IPSAS 48: Transfer expenses, issued in May 2023 and effective 1 January 2026;

(g) IPSAS 49: Retirement benefit plans, approved in September 2023 and effective 1 January 2026.

(h) IPSAS 50: Exploration for and evaluation of mineral resources, approved in September 2024 and effective 1 January 2027.

22. The impact of these standards on the Organization's financial statements and the comparative period therein has been evaluated as follows:

Standard	*Anticipated impact in the year of adoption*
IPSAS 43	IPSAS 43: Leases, replaced IPSAS 13: Leases aligning guidance, with International Financial Reporting Standard 16. The newly issued standard introduces new contract and lease definitions and prescribes a right-of-use recognition and measurement model for all leases, apart from those meeting short-term and low-value exemption categories. IPSAS 43 also provides additional guidance on the application of the risks and rewards model for lessor accounting. Adoption of the standard is mandatory for the financial year ending 31 December 2025 for Centre operations. The policy guidance is currently being updated for the implementation of IPSAS, 43 which will be reported in the 2025 year-end financial statements. The broadened lease definition is estimated to result in the recognition of more binding arrangements as leases, with a corresponding increase in lease liabilities and right-of-use assets.
IPSAS 44	IPSAS 44: Non-current assets held for sale and discontinued operations, promulgates accounting for assets held for sale and the presentation and disclosure requirements of discontinued operations, in alignment with International Financial Reporting Standard 5. Adoption of the standard is mandatory for the financial year ending 31 December 2025. Given the definitions and scope of non-current assets held for sale, the recognition and measurement impacts are, on a preliminary basis, estimated as not significant for the Centre, as the presentation and disclosure changes will depend on the identification of discontinued operations, if any, in the future, starting on 1 January 2025.
IPSAS 45	IPSAS 45: Property, plant and equipment, replaces IPSAS 17: Property, plant and equipment. IPSAS 45 changes the scope exclusion for heritage property, plant and equipment, provides application and implementation guidance on infrastructure assets and captures property, plant and equipment-related measurement impacts from IPSAS 46. The measurement basis will not change and there is no significant impact on the financial statements with the application of the updated standard.
IPSAS 46	IPSAS 46: Measurement, is the IPSAS Board's first measurement-dedicated standard that draws upon International Financial Reporting Standard 13: Fair value measurement, with the addition of public sector-specific elements, including the current operational value measurement basis. The adoption of IPSAS 46 will not change the Centre's accounting policy choice to apply the historical cost model to tangible and intangible assets.
IPSAS 47	IPSAS 47: Revenue, replaces the three existing revenue standards: (a) IPSAS 9: Revenue from exchange transactions. (b) IPSAS 11: Construction contracts. (c) IPSAS 23: Revenue from non-exchange transactions (taxes and transfers). IPSAS 47 aligns with the IPSAS Board's Conceptual Framework for General Purpose Financial Reporting by Public Sector Entities and presents two accounting models based on the existence of a binding arrangement. Where a binding arrangement exists, revenue accounting is aligned with International Financial Reporting Standard 15: Revenue from contracts with customers. Otherwise, the accounting model is consistent with the core principles of IPSAS 23. Adoption of the standard is mandatory for the financial year ending 31 December 2026. The impact of IPSAS 47 will be assessed prior to the 1 January 2026 effective date of the standard.

Standard	*Anticipated impact in the year of adoption*
IPSAS 48	IPSAS 48: Transfer expenses, provides guidance on accounting for transfer expenses. The transfer expense model aligns with the Conceptual Framework and presents two accounting models based on the existence of a binding arrangement. Adoption of the standard is mandatory for the financial year ending 31 December 2026. The impact of IPSAS 48 will be assessed prior to the 1 January 2026 effective date of the standard.
IPSAS 49	IPSAS 49: Retirement benefit plans, aligns with International Accounting Standard 26: Accounting and reporting by retirement benefit plans, and prescribes the accounting and reporting requirements for public sector retirement benefit plans, which provide retirement benefits to public sector employees and other eligible participants. A retirement benefit plan that prepares and presents financial statements under the accrual basis of accounting shall apply IPSAS 49. The Standard does not deal with other forms of employment benefits such as employment termination benefits or health and welfare plans. Adoption of the standard is mandatory for the financial year ending 31 December 2026. The assessment is that IPSAS 49 will have no impact on financial reporting of Centre operations.
IPSAS 50	IPSAS 50: Exploration for and Evaluation of Mineral Resources, is aligned with the International Financial Reporting Standard 6 and provides guidance related to the costs incurred for exploration for, and evaluation of, mineral resources, as well as the costs of determining the technical feasibility and commercial viability of extracting the mineral resources. IPSAS 50 is expected to have no impact on financial reporting of Centre operations.

Note 3
Significant accounting policies

Assets

Financial assets

Classification

23. ITC classifies its financial assets as follows:

(a) Cash and cash equivalents (including those held in the main cash pool) at amortized cost.

(b) Investments (held in the main cash pool managed by the United Nations Treasury, which centrally invests these funds on behalf of ITC) at fair value through net assets/equity.

(c) Receivables at amortized cost.

24. ITC determines the classification of its financial assets at initial recognition.

25. The main cash pool comprises participating entities' shares of cash and term deposits and short-term and long-term investments, all of which are managed by the United Nations Treasury. The ITC share of the main cash pool is disclosed in the notes to the financial statements and in the statement of financial position, categorized as investments at fair value through net assets/equity or as cash and cash equivalents if they had original maturities of less than three months. Detailed information on the holdings of the main cash pool may be obtained from the financial statements of the United Nations.

Recognition and measurement of financial assets held in the main cash pool

26. Financial assets held in the main cash pool are measured at fair value at each reporting date, and any gains or losses arising from changes in the fair value are presented within a fair value reserve in the statement of net assets in the year in which they arise.

27. The investment pools are subject to an expected credit loss assessment for the reporting period. This assessment is conducted using credit ratings provided by Fitch Ratings, a globally recognized provider of credit ratings, research, and financial market analysis. The expected credit loss on investments is determined based on Fitch's default ratings, incorporating both the Fitch issuer rating and the type of issuer. Historical default rates are derived from Fitch's analysis of data over a three-year period. For each investment position, the Fitch rating specific to the issuer type is obtained, and the corresponding default rate is applied using the transition matrix relevant to the issuer category (e.g. supranational, sovereign or corporate).

Recognition and measurement of receivables

28. Receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. ITC receivables comprise contributions receivable and other accounts receivable recognized in the statement of financial position. These receivables are stated at nominal value, less impairment for estimated irrecoverable amounts, that is, as the allowance for expected credit losses. If deemed material, long-term voluntary contribution receivables that will mature in more than 12 months are reported at net present value discounted using the effective-interest method.

Impairment of receivables

29. ITC utilizes a forward-looking impairment model based on expected credit losses over the lifetime of the financial asset. The expected credit losses take into account possible default events and the evolution of the credit quality of the financial assets. The impairment model applies to all financial assets measured at amortized cost or at fair value through net assets/equity.

Voluntary contribution receivables

30. Voluntary contribution receivables have distinct characteristics compared with conventional receivables classified as financial assets. These distinctions include:

(a) Variability in amounts: due to their voluntary nature, the amounts associated with voluntary contribution receivables can vary, as they may fluctuate on the basis of future funding requirements for project implementation and the intentions of donors.

(b) Flexible due date: due dates for voluntary contribution receivables are highly adaptable and subject to adjustment in alignment with the progress of the related project implementation.

31. The inherent variability of the pledged amounts and the flexibility of due dates pose substantial challenges in formulating a reasonable estimation of loss allowance for voluntary contribution receivables. The historical amount of write-off instances over the aggregate value of voluntary contribution receivables is relatively small. The Centre has therefore assessed loss allowance on voluntary contributions on a case-by-case basis, creating a 100 per cent loss allowance for delinquent receivables that are identified as uncollectible.

Receivables from exchange transactions: other receivables

32. Other receivables primarily include amounts receivable for goods or services provided to other entities, amounts receivable for leased-out assets and receivables from staff. Receivables from other United Nations entities are also included in this category.

33. Other receivables are categorized by customer types with homogeneous characteristics, such as with the same debt settlement patterns. The evolution of the outstanding balances is assessed over a period of years to determine the historical transition rate of outstanding balances. The transition rate is re-assessed at end of each reporting period and applied to the exposure balance to determine the loss allowance.

Advances or prepayments

34. Advances are recognized as an asset until goods are delivered or services are rendered in accordance with binding agreements with suppliers or in accordance with the Staff Regulations and Rules of the United Nations for staff advances. ITC recognizes an expense once it has received proof of the delivery of goods or the rendering of services.

35. ITC advances funds to implementing partners (e.g. other United Nations system organizations and trade support institutions) to provide services to a target population in accordance with binding agreements with ITC. The implementing partner reports to ITC on its progress towards fulfilling the project or programme for which the agreement was signed. Expenses are recognized on receipt of expenditure or service delivery reports. In accordance with the recommendation of the Board of Auditors, the net portion of any advances not yet delivered will be taken to expense at year-end except for the grants that ITC has effective control over.

Property, plant and equipment

36. Property, plant and equipment are stated at historical cost less accumulated depreciation and accumulated impairment losses. Historical cost comprises the purchase price, any costs directly attributable to bringing the asset to its location and condition and the initial estimate of dismantling and site restoration costs. Assets that fall under the category of property, plant and equipment but are not under the direct control of ITC are expensed when acquired. ITC is deemed to control an asset if it can obtain future economic benefits from its use in the pursuit of its objectives and can exclude or regulate the access of third parties to the asset.

37. Property, plant and equipment are capitalized when their cost is greater than or equal to $5,000 for equipment and $100,000 for leasehold improvements. No threshold is applied for vehicles, prefabricated buildings, satellite communications systems, generators and network equipment.

Subsequent costs

38. Costs incurred subsequent to initial acquisition are capitalized only when it is probable that future economic benefits or service potential associated with the item will flow to ITC and the subsequent costs can be measured reliably.

Depreciation of property, plant and equipment

39. Depreciation is recognized for property, plant and equipment over their estimated useful lives using the straight-line method. The estimated useful lives for property, plant and equipment classes are set out below.

40. As with other accounting estimates and underlying assumptions, estimated useful life assumptions are reviewed on an ongoing basis. Changes in accounting estimates result from new information, new developments or more experience, such as adjustment of the periodic consumption of an asset that results from the assessment of the present status of, and expected future benefits associated with, assets. Such changes are accounted for as a change in the accounting estimate. It is recognized prospectively by including it in surplus or deficit in the period of change and future periods if the change affects both. Such prospective recognition is applied to transactions, other events and conditions from the date of the change in estimate.

41. Following recommendations of the Board of Auditors received by several United Nations system entities to review the useful lives of all classes of assets, the Task Force on Accounting Standards, which reports to the United Nations System entities, carried out a system-wide survey on the useful lives of assets. As a result of the exercise, updated useful lives have been applied to the Centre's property plant and equipment prospectively starting on 1 January 2023. The 2022 review of estimated useful lives had the objective of determining if, on the basis of asset data and experience to date, the revision of useful life assumptions for future asset acquisitions would in future provide more relevant and reliable information. The revised estimated useful lives of property, plant and equipment classes are set out below.

Asset class	*Asset subclass*	*Estimated useful life (years)*
Communications and information technology equipment	Information technology equipment	4–5[a]
	Communications equipment	7–8[a]
	Audiovisual equipment	7–10[a]
Vehicles	Light wheeled vehicles	6–7[a]
Machinery and equipment	Light engineering and construction equipment	5–8[a]
	Medical equipment	5–6[a]
	Security and safety equipment	5–6[a]
Furniture and fixtures	Office equipment	4–5[a]
	Furniture	10
	Fixtures and fittings	7–10[a]
Leasehold improvements	Minor construction work	Shorter of lease term or 5 years

[a] Estimated useful lives for the above subclasses were increased in 2023, following the review of the estimates of the periods over which asset subclasses are expected to be available for use.

42. Impairment reviews are undertaken for property, plant and equipment at least annually and any impairment losses are recognized in the statement of financial performance. The residual values and useful lives of assets are reviewed at least annually and adjusted if applicable.

43. A gain or loss resulting from the disposal or transfer of property, plant and equipment arises where proceeds from disposal or transfer differ from the carrying amount. Those gains or losses are recognized in the statement of financial performance within other revenue or other expenses.

Intangible assets

44. Intangible assets are valued at historical cost less accumulated amortization and any impairment losses. Externally acquired software is capitalized if its cost exceeds $5,000, including costs incurred to acquire and bring the software to use. Internally developed software is capitalized where the accumulated cost is equal to or greater

than $100,000, excluding research and maintenance costs and including directly attributable costs, such as employees, subcontractors and consultants.

Amortization of intangible assets

45. Amortization of intangible assets is recognized over their estimated useful lives using the straight-line method. The estimated useful lives for intangible asset classes are as follows:

Class	*Estimated useful life (years)*
Software developed internally	5

46. Impairment reviews are undertaken for all intangible assets at least annually and any impairment losses are recognized in the statement of financial performance.

Liabilities

Financial liabilities

47. Financial liabilities are classified as "other financial liabilities". They include accounts payable, transfers payable, unspent funds held for future refunds and other liabilities.

48. Financial liabilities classified as other financial liabilities are initially recognized at fair value and subsequently measured at amortized cost. Financial liabilities with a duration of less than 12 months are recognized at their nominal value. ITC re-evaluates the classification of financial liabilities at each reporting date and derecognizes financial liabilities when its contractual obligations are discharged, waived, cancelled or expired.

49. Accounts payable and accrued expenses arise from the purchase of goods and services that have been received but not paid for as at the reporting date. They are stated at invoice amounts, less payment discounts as at the reporting date. Payables are measured at their nominal value, if classified as current liabilities, or at fair value if classified as non-current liabilities.

Employee benefits liabilities

50. ITC recognizes the employee benefits described in the following paragraphs.

Short-term employee benefits

51. Short-term employee benefits comprise first-time employee benefits (assignment grants), regular daily, weekly and monthly benefits (wages, salaries, allowances), compensated absences (paid sick leave, maternity and paternity leave) and other short-term benefits (education grant, reimbursement of taxes, death benefit and home leave travel) provided to current employees on the basis of services rendered. Short-term employee benefits are expected to be settled within 12 months of the reporting date and are measured at their nominal values based on accrued entitlements at current rates of pay. All short-term employee benefits that are earned but not paid at the reporting date are recognized as current liabilities in the statement of financial position. Some employees are entitled to home leave every 12 months and others every 24 months; the benefit is classified as a short-term and long-term benefit under IPSAS. However, for practical purposes, the Centre has decided to treat the entire home leave benefit as a short-term benefit. The calculation, presentation and disclosure of benefits and any liabilities will therefore follow the guidance for short-term employee benefits.

Post-employment benefits

52. Post-employment benefits comprise after-service health insurance, end-of-service repatriation benefits and a pension through the United Nations Joint Staff Pension Fund.

Defined benefit plans

53. The following benefits are accounted for as defined benefit plans: after-service health insurance, repatriation benefits, pensions through the United Nations Joint Staff Pension Fund (post-employment benefits) and accumulated annual leave that is commuted to cash upon separation from the Centre (other long-term benefit). The liability recognized for the post-employment benefit plans is the present value of the defined benefit obligations as at the reporting date. Defined benefit plans are those where the obligation of ITC is to provide agreed benefits and therefore ITC bears the actuarial risks. The liability for defined benefit plans is measured at the present value of the defined benefit obligation. Changes in the liability for defined benefit plans, excluding actuarial gains and losses, are recognized in the statement of financial performance in the year in which they occur. ITC has chosen to recognize changes in the liability for defined benefit plans from actuarial gains and losses directly through the statement of changes in net assets. At the end of the reporting year, ITC did not hold any plan assets as defined in IPSAS 39: Employee benefits.

54. The defined benefit obligations are calculated by an independent actuary using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using the interest rates of high-quality corporate bonds with maturity dates approximating those of the individual plans.

After-service health insurance

55. Coverage for the medical expenses of eligible former staff members and their dependants is provided through after-service health insurance. At the end of service, staff members and their dependants may elect to participate in a defined benefit health insurance plan of ITC, provided that they have met certain eligibility requirements, including 10 years of participation in a United Nations health plan for those who were recruited after 1 July 2007 and 5 years for those recruited before that date. The after-service health insurance liability represents the present value of the share of the Centre's medical insurance costs for retirees and the post-retirement benefit accrued to date by active staff. A factor in the after-service health insurance valuation is to consider contributions from all plan participants in determining the Centre's residual liability. Contributions from retirees are deducted from the gross liability, together with a portion of the contributions from active staff, to arrive at the Centre's residual liability in accordance with cost-sharing ratios authorized by the General Assembly.

Repatriation benefits

56. At the end of service, staff who meet certain eligibility requirements, including residency outside their country of nationality at the time of separation, are entitled to a repatriation grant, which is based on length of service, and travel and removal expenses. A liability is recognized from when the staff member joins the Centre and is measured as the present value of the estimated liability for settling these entitlements.

Annual leave

57. The liabilities for annual leave represent unused accumulated leave days that are projected to be settled through a monetary payment to employees upon their separation from ITC. The Centre recognizes as a liability the actuarial value of the total accumulated unused leave days of all staff members, up to a maximum of 60 days (18 days for temporary staff) as at the date of the statement of financial position. The methodology applies a last-in, first-out assumption in the determination of the annual leave liabilities, whereby staff members gain access to current period leave entitlements before gaining access to accumulated annual leave balances relating to prior periods. Effectively, access to the accumulated annual leave benefit is gained more than 12 months after the end of the reporting period in which the benefit arose and, overall, there is an increase in the level of accumulated annual leave days, pointing to the commutation of accumulated annual leave to a cash settlement at the end of service as the true liability of ITC. The accumulated annual leave benefit reflecting the outflow of economic resources from ITC at the end of service is therefore classified under the category of other long-term benefits, while noting that the portion of the accumulated annual leave benefit that is expected to be settled through monetary payment within 12 months after the reporting date is classified as a current liability. In line with IPSAS 39: Employee benefits, other long-term benefits must be valued similarly to post-employment benefits; therefore, ITC values its accumulated annual leave benefit liability as a defined, post-employment benefit that is actuarially valued.

58. Accrued liabilities for the post-employment benefits of after-service health insurance, the repatriation grant and accumulated annual leave are shown as employee benefits liabilities in the statement of financial position and the statement of changes in net assets.

Appendix D benefits

59. Appendix D to the Staff Regulations and Rules of the United Nations governs compensation in the event of death, injury or illness attributable to the performance of official duties on behalf of the United Nations. Those liabilities are valued by actuaries.

Other long-term employee benefits

60. Other long-term employee benefits obligations are benefits that do not fall due wholly within 12 months after the end of the year in which the employee renders the service giving rise to the benefit. Accumulated annual leave is an example of a long-term employee benefit.

Termination benefits

61. Termination benefits are recognized as an expense only when ITC is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate the employment of a staff member before the normal retirement date or to provide termination benefits as a result of an offer made in order to encourage voluntary redundancy. Termination benefits to be settled within 12 months are reported at the amount expected to be paid. Where termination benefits fall due more than 12 months after the reporting date, they are discounted if the impact of discounting is material.

United Nations Joint Staff Pension Fund

62. ITC is a participant in the United Nations Joint Staff Pension Fund, which was established by the General Assembly to provide retirement, death, disability and related benefits to employees. The Fund is a funded, multi-employer defined benefit plan. As specified in article 3 (b) of the Regulations of the Fund, membership in the Fund shall be open to the specialized agencies and to any other international, intergovernmental organization which participates in the common system of salaries, allowances and other conditions of service of the United Nations and the specialized agencies.

63. The Fund exposes participating organizations to actuarial risks associated with the current and former employees of other organizations participating in the Fund, with the result that there is no consistent and reliable basis for allocating the obligation, plan assets and costs to individual organizations participating in the Fund. ITC and the Fund, in line with the other participating organizations in the Fund, are not in a position to identify the Centre's proportionate share of the defined benefit obligation, the plan assets and the costs associated with the plan with sufficient reliability for accounting purposes. Therefore, ITC has treated the plan as if it were a defined-contribution plan in line with the requirements of IPSAS 39: Employee benefits. The contributions of ITC to the Fund during the financial year are recognized as expenses in the statement of financial performance.

Provisions

64. Provisions are liabilities recognized for future expenditure of uncertain amount or timing when there is a present legal or constructive obligation, as a result of a past event, and it is probable that ITC will be required to settle the obligation, and the value can be estimated reliably. The amount of the provision is the best estimate of the expenditure expected to be required to settle the present obligation as at the reporting date. Where the effect of the time value of money is material, the provision is the present value of the amount required to settle the obligation.

Operating leases

65. Leases where the lessor retains a significant portion of the risks and rewards inherent in ownership are classified as operating leases. Payments made under operating leases are recognized in the statement of financial performance as an expense on a straight-line basis over the period of the lease. Donated right-to-use arrangements are accounted for as operating leases or finance leases, depending on whether an assessment of the agreement indicates that control over the underlying assets is transferred to the Centre. The threshold for recognition and measurement of donated right-to-use premises in the financial statements is $5,000 per discrete donated right-to-use arrangement per year. Where a donated right-to-use arrangement is treated as an operating lease, an expense and corresponding revenue equal to the annual rental value of the asset or similar property are recognized in the financial statements.

Contingent liabilities and contingent assets

Contingent liabilities

66. Any possible obligations that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of ITC or where value cannot be reliably estimated are disclosed as contingent liabilities. Provisions and contingent liabilities are assessed continually to determine whether an outflow of resources embodying

economic benefits or service potential has become more or less probable. If it becomes more probable that an outflow of resources embodying economic benefits or service potential will be required, a provision is recognized in the financial statements of the year in which the change of probability occurs. Similarly, if it becomes less probable that such an outflow will be required, a contingent liability is disclosed in the notes to the financial statements.

Contingent assets

67. Any possible assets that arise from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the effective control of ITC are disclosed as contingent assets in the notes when it is more likely than not that economic benefits will flow to ITC.

Revenue

Non-exchange revenue and receivables

68. The administrative arrangements of ITC provide that the budget of ITC must be equally shared by WTO and the United Nations. Assessed contributions from the United Nations and WTO to the regular budget of ITC are recognized at the beginning of the year to which the assessment relates. The revenue is determined based on the annual budget of the United Nations and the biennial budget of WTO. In the event that the General Assembly and the General Council of WTO approve different amounts, ITC assesses the lower of the two amounts.

69. Voluntary contributions are recognized as revenue upon the signing of a binding agreement that does not contain conditions requiring specific performance and an obligation to return the assets to the contributing entity if such conditions are not met. If such conditions are included, revenue is recognized as the conditions are satisfied, and a liability is recognized until the conditions have been satisfied.

70. The full amounts relating to unconditional multi-year voluntary contribution agreements, pledges and other promised donations are recognized as revenue when the arrangement becomes binding, except for the Junior Professional Officer programme. In the case of the Junior Professional Officer programme revenue is recognized as deferred revenue for the contributions pledged or received that pertain to contracts of Junior Professional Officers relating to future years.

71. ITC receives a rental subsidy from the Fondation des immeubles pour les organisations internationales. The amount of the rental subsidy is recognized for each financial period during the lease period. It represents the difference between the market value of the rent and the actual rent paid. The valuation is based on the data published on an independent real estate website for Switzerland.

72. In-kind contributions of goods above the recognition threshold of $5,000 (per discrete contribution) are recognized as assets and revenue once it is probable that future economic benefits or service potential will flow to the Centre and the fair value of those assets can be measured reliably. Contributions in kind are initially measured at their fair value at the date of receipt determined by reference to observable market values or by independent appraisals. The Centre has elected not to recognize in-kind contributions of services, but to disclose in-kind contributions of service above the threshold of $5,000 per discrete contribution in the notes to the financial statements.

73. An indirect cost recovery called a “programme support cost” is charged to extrabudgetary funds as a percentage of direct costs to ensure that the additional costs of supporting activities financed from extrabudgetary contributions are not borne by

assessed contributions of the Centre. The programme support cost is eliminated for the purposes of financial statement preparation. The funding for the programme support cost charge agreed upon with the donor is included as part of voluntary contributions.

Exchange revenue

74. Revenue from the sale of publications is recognized upon acceptance by the customer. Licence fee revenue is recognized over the period of the licence. Revenue from rendering services to governments and other entities is recognized as services are performed in accordance with the agreements.

Investment revenue

75. Investment revenue includes the ITC share of net cash pool revenue earned in the main cash pool managed by the United Nations Treasury, which centrally invests the funds on behalf of ITC. Net cash pool revenue includes any gains and losses on the sale of investments, which are calculated as the difference between the sales proceeds and the book value. Transaction costs that are directly attributable to the investment activities are netted against revenue, and the net revenue is distributed proportionately to all cash pool participants on the basis of their average daily balances. Unrealized market gains and losses are reported under the statement of net assets in accordance with IPSAS 41.

Expenses

76. Expenses are decreases in economic benefits or service potential during the reporting year in the form of outflows or consumption of assets or incurrence of liabilities that result in decreases in net assets and are recognized on an accrual basis when goods are delivered and services are rendered regardless of the terms of payment. Grants to end beneficiaries of up to $30,000 are considered transfers, and an expense is recognized at the point at which ITC has a binding obligation to pay.

Segment reporting

77. A segment is a distinguishable activity or group of activities for which financial information is reported separately in order to evaluate an entity’s past performance in achieving its objectives and for making decisions about the future allocation of resources. ITC is a joint agency of WTO and the United Nations, fully dedicated to supporting the internationalization of small and medium-sized enterprises. This means that the agency enables small and medium-sized enterprises in developing and transition economies to become more competitive and connect to international markets for trade and investment, thus raising incomes and creating job opportunities especially for women, young people and poor communities. It therefore falls into one operating segment for IPSAS purposes.

Joint arrangement

78. A joint arrangement is an arrangement in which two or more parties have joint control. The parties are bound by a binding arrangement which gives two or more of those parties joint control of the arrangement. A joint arrangement can be classified under IPSAS 37: Joint arrangements, as one of the following:

(a) A joint operation whereby the participants of the arrangement (with or without joint control of the arrangement) recognize their share of the assets, liabilities, revenues and expenses in accordance with the IPSAS standard applicable to the particular assets, liabilities, revenues and expenses.

(b) A joint venture whereby the parties to the arrangement have rights to the net assets and the entity accounts for its share using the equity method. The equity method initially records the interest at cost and adjusts it thereafter for the post-acquisition changes in the entity's share of the net assets. The entity's share of the surplus or deficit of the joint arrangement is recognized in the statement of financial performance. Interest in a joint venture is recorded as a non-current asset unless there is a net liability position, in which case it is recorded as a non-current liability.

Related party disclosures

79. Related parties that have the ability to control or exercise significant influence over ITC in making financial and operating decisions, as well as transactions with such parties, unless occurring within or consistent with a normal relationship and on arms-length terms between such parties, are disclosed in the notes to the financial statements. In addition, ITC discloses specific transactions with key management personnel and their family members.

Operating reserves

80. The trust fund operating reserve of ITC is maintained to cover delays in payment of voluntary contributions and to meet shortfalls of revenue over final expense of the trust fund based on an assessment of the financial risks and needs associated with the ITC trust fund operations. In addition, an operating reserve is also maintained in the programme support fund at an amount equal to 20 per cent of estimated support cost revenue in accordance with administrative instruction ST/AI/286. Both these reserves are presented in the statement of financial position and statement of changes in net assets as a separate component of net assets.

Note 4
Cash and cash equivalents

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Main cash pool	20 543	22 048
Cash held in main and field offices	7	10
Total cash and cash equivalents	**20 550**	**22 058**

81. Cash required for immediate disbursement is maintained in the main cash pool. Cash in the main office and field locations is held for meeting immediate financial needs at those locations. The proportion of cash and investments is a result of the investment decisions of the United Nations Treasury. Detailed information on the holdings of the main cash pool may be obtained from the financial statements of the United Nations.

Note 5
Financial instruments and financial risk management

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Financial assets		
Fair value through net assets/equity		
1. Investments, main cash pool (short term)	109 610	104 347
2. Investments, main cash pool (long term)	40 809	33 118
Total fair value through net assets/equity	**150 419**	**137 465**
Cash and cash equivalents and receivables held at amortized cost		
3. Cash and cash equivalents, main cash pool (note 4)	20 543	22 048
4. Cash and cash equivalents, other (note 4)	7	10
5. Accounts receivable (note 6)	274 865	198 867
Total amortized cost of financial assets	**295 415**	**220 925**
Total carrying amount of financial assets	**445 834**	**358 390**
Financial assets held in main cash pool payable to ITC (1+2+3)	**170 962**	**159 513**
Financial liabilities held at amortized cost		
Accounts payable and accrued liabilities (note 10)	16 430	7 896
Total carrying amount of financial liabilities	**16 430**	**7 896**

82. The increase in financial assets from $358.390 million to $445.834 million in 2024 stems from an increase in signed agreements and the receipt of substantial initial instalments. In 2024, newly signed multi-year agreements for voluntary contributions amounted to $209.000 million compared with $159.336 million in 2023.

83. In addition to directly held cash, ITC participates in the United Nations Treasury main pool, which comprises operational bank account balances in a number of currencies and investments in United States dollars.

84. Pooling the funds has a positive effect on overall investment performance and risk, because of economies of scale, and by the ability to spread yield curve exposures across a range of maturities. The allocation of cash pool assets (cash and cash equivalents, short-term investments and long-term investments) and revenue is based on each participating entity’s principal balance.

85. As at 31 December 2024, ITC participated in the main pool, which held total assets of $12,076.133 million (2023: $11,548.660 million), of which $170.962 million was due to ITC (2023: $159.513 million), comprising short-term and long-term investments of $150.419 million (2023: $137.465 million) and cash and cash equivalents of $20.543 million (2023: $22.048 million).

86. The ITC share of revenue from the main pool was $7.364 million (2023: $6.437 million) (see note 15).

87. The ITC share of unrealized gain/(loss) of $0.296 million (2023: $1.091 million) from the main cash pool mark to market revaluation is reported under the statement of net assets in accordance with IPSAS 41.

Summary of assets and liabilities of the main pool as at 31 December

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Fair value through net assets/equity		
Short-term investments	7 742 472	7 554 712
Long-term investments	2 882 612	2 397 703
Total fair value through net assets/equity	**10 625 084**	**9 952 415**
Cash and cash equivalents and receivables held at amortized cost		
Cash and cash equivalents	1 312 000	1 485 897
Accrued investment revenue	139 050	110 348
Total amortized cost of financial assets	**1 451 050**	**1 596 245**
Total carrying amount of financial assets	**12 076 134**	**11 548 660**
Cash pool liabilities		
Payable to ITC	170 962	159 513
Payable to other cash pool participants	11 905 172	11 389 147
Total liabilities	**12 076 134**	**11 548 660**
Net assets	**–**	**–**

Summary of revenue and expenses of the main pool

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Investment revenue	577 165	488 377
Investment revenue from main pool	**577 165**	**488 377**
Foreign exchange gains/(loss)	8 723	9 194
Bank fees	(733)	(808)
Operating gains/(losses) from main pool	**7 990**	**8 386**
Revenue from main pool	**585 155**	**496 763**

Financial risk management

88. The operations of ITC expose it to a variety of financial risks: market risk, credit risk and liquidity risk. The United Nations Treasury is responsible for investment and risk management for the main pool, including conducting investment activities in accordance with the Investment Management Guidelines.

89. The objective of investment management is to preserve capital and ensure sufficient liquidity to meet operating cash requirements while attaining a competitive market rate of return on the investment pool. Investment quality, safety and liquidity are emphasized over the market rate of return component of the objectives.

90. An investment committee periodically evaluates investment performance and assesses compliance with the Guidelines and makes recommendations for updates thereto.

Financial risk management: credit risk

91. Credit risk refers to the risk that a counterparty to a financial instrument will default on its contractual obligations, resulting in a financial loss to ITC. Credit risk arises from cash and cash equivalents, investments and deposits with financial institutions, as well as credit exposures to outstanding receivables. The carrying value of financial assets equates to the maximum exposure to credit risk as at the reporting date. ITC does not hold any collateral as security.

92. The Investment Management Guidelines require ongoing monitoring of issuer and counterparty credit ratings. Permissible main pool investments may include, but are not restricted to, bank deposits, commercial paper, supranational securities, government agency securities and government securities with maturities of five years or less. The main pool does not invest in derivative instruments such as asset-backed and mortgage-backed securities or equity products.

93. The Guidelines require that investments are not made with issuers whose credit ratings are below specifications, and they also provide for maximum concentrations with given issuers. These requirements were met at the time the investments were made.

94. The credit ratings used for the main pool are those determined by major credit-rating agencies; S&P Global, Moody's and Fitch are used to rate bonds, certificates of deposit and discounted instruments, and the Fitch viability rating is used to rate bank term deposits. At year-end, the credit ratings were as shown in the table below.

Investments of the cash pool by credit ratings as at 31 December

(Percentage based on carrying value)

Main pool	*Ratings as at 31 December 2024*			*Main pool*	*Ratings as at 31 December 2023*			
Bonds (long-term ratings)				**Bonds (long-term ratings)**				
	AAA	*AA+/AA-/AA*	*n/a*		*AAA*	*AA+/AA-/AA*		*n/a*
S&P Global	22.2	77.8		S&P Global	37.1	62.9		
	AAA	*AA+/AA/AA-*	*n/a/NR*		*AAA*	*AA+/AA/AA-*	*A+*	*n/a/NR*
Fitch	9.9	69.4	20.7	Fitch	28.4	53.3	1.3	17.0
	Aaa	*Aa1/Aa2/Aa3*	*n/a*		*Aaa*	*Aa1/Aa2/Aa3*		*n/a*
Moody's	37.7	53.6	8.7	Moody's	61.9	30.5		7.6
Commercial paper/certificates of deposit (short-term ratings)				**Commercial paper/certificates of deposit (short-term ratings)**				
	A-1+/A-1				*A-1+/A-1*			
S&P Global	100.0			S&P Global	100.0			
	F1+/F1		*NR*		*F1+/F1*			*NR*
Fitch	97.6		2.4	Fitch	98.8			1.2
	P-1				*P-1/P2*			
Moody's	100.0			Moody's	100.0			
Term deposits (Fitch viability ratings)				**Term deposits (Fitch viability ratings)**				
	aa/aa-	*a+/a/a-*	*NR*		*aa/aa-*	*a+/a/a-*		
Fitch	33.7	64.9	1.4	Fitch	23.8	76.2		

Abbreviations: n/a, not applicable; NR: not rated.

95. The United Nations Treasury actively monitors credit ratings and, given that investments are only in securities with high credit ratings, management does not expect any counterparty to fail to meet its obligations, except for any impaired investments.

Credit risk: voluntary contributions receivable and other accounts receivable

96. A large portion of the voluntary contributions receivable is due from sovereign Governments and supranational agencies, including other United Nations entities that do not have significant credit risk. The maximum exposure to credit risk of financial assets equals their carrying amount. As at the reporting date, the Centre held no collateral as security for receivables.

Credit risk: loss allowance

97. The Centre uses the simplified approach to evaluate the lifetime expected credit loss at each reporting date. The loss allowance is established on the basis of the historical loss rate and the exposure balance at the year-end for each financial assets category. Management-approved write-offs under the Financial Regulations and Rules or reversals of previously impaired receivables are recognized directly in the statement of financial performance.

Financial risk management: liquidity risk

98. Liquidity risk is the risk that ITC might not have adequate funds to meet its obligations as they fall due. Cash flow forecasting is performed by ITC in conjunction with the United Nations Office at Geneva, which monitors rolling forecasts of liquidity requirements to ensure it has sufficient cash to meet operational needs.

99. Surplus cash held by ITC above the balance required for working capital management is transferred to the main cash pool managed by the United Nations Treasury. The main cash pool is exposed to liquidity risk associated with the requirement of participants to make withdrawals on short notice. It maintains sufficient cash and marketable securities to meet participants' commitments as and when they fall due. The major portion of cash and cash equivalents and investments are available within a day's notice to support operational requirements. The main pool liquidity risk is therefore considered to be low.

Financial risk management: interest rate risk

100. Interest rate risk is the risk of variability in the fair values or future cash flows of financial instruments due to a change in interest rates. In general, as the interest rate rises, the price of a fixed-rate security falls, and vice versa. Interest rate risk is commonly measured by the duration of the fixed-rate security, with duration being a number expressed in years. The longer the duration, the greater the interest rate risk.

101. The main pool comprises the main exposure of ITC to interest rate risk, with fixed-rate cash and cash equivalents and investments being interest-bearing financial instruments. As at the reporting date, the main pool had invested primarily in securities with shorter terms to maturity, with the maximum being less than five years (2023: four years). The average duration of the main pool was 0.78 years (2023: 0.65 years), which is considered to be an indicator of low risk.

102. The table below provides an analysis of how the fair value of the main pool as at the reporting date would increase or decrease should the overall yield curve shift in response to changes in interest rates. Given that the investments are accounted for at fair value through net assets/equity, the change in fair value represents the increase or decrease in net assets. The impact of a shift up or down of up to 200 basis points in the

yield curve is shown (100 basis points equal 1 per cent). The basis points shifts are illustrative.

Main pool interest rate risk sensitivity analysis as at 31 December 2024

Shift in yield curve (basis points)	*-200*	*-150*	*-100*	*-50*	*0*	*+50*	*+100*	*+150*	*+200*
(Millions of United States dollars) **Increase/(decrease) in fair value**									
Main pool total	180.84	135.62	90.41	45.20	0	(45.20)	(90.39)	(135.57)	(180.75)

Main pool interest rate risk sensitivity analysis as at 31 December 2023

Shift in yield curve (basis points)	*-200*	*-150*	*-100*	*-50*	*0*	*+50*	*+100*	*+150*	*+200*
(Millions of United States dollars) **Increase/(decrease) in fair value**									
Main pool total	144.78	108.58	72.38	36.19	0	(36.19)	(72.37)	(108.55)	(144.73)

Other market risk: price risk

103. The main pool is not exposed to significant other price risk, because it does not sell short, borrow securities or purchase securities on margin, which limits the potential loss of capital.

Accounting classifications and fair value hierarchy

104. All investments are reported at fair value through net assets/equity. Cash and cash equivalents carried at nominal value are deemed to be an approximation of fair value.

105. The levels are defined as follows:

(a) Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities;

(b) Level 2: inputs other than quoted prices included within level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices);

(c) Level 3: inputs for the asset or liability that are not based on observable market data (i.e. unobservable inputs).

106. The fair value of financial instruments traded in active markets is based on quoted market prices at the reporting date and is determined by the independent custodian based on valuation of securities sourced from third parties. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group, pricing service or regulatory agency, and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held in the main pool is the current bid price.

107. The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques that maximize the use of observable market data. If all significant inputs required to determine the fair value of an instrument are observable, the instrument is included in level 2.

108. The fair value hierarchy in the table below presents the cash pool assets that are measured at fair value at the reporting date. There were no level 3 financial assets or liabilities carried at fair value and there were no significant transfers of financial assets between fair value hierarchy classifications.

Fair value hierarchy for investments as at 31 December: main pool

(Thousands of United States dollars)

	31 December 2024			*31 December 2023*		
	Level 1	*Level 2*	*Total*	*Level 1*	*Level 2*	*Total*
Financial assets at fair value through net assets/equity						
Bonds – corporate	94 875	–	94 875	118 115	–	118 115
Bonds – non-United States agencies	2 608 429	–	2 608 429	2 468 680	–	2 468 680
Bonds – supranational	478 759	–	478 759	770 234	–	770 234
Bonds – United States treasuries	793 328	–	793 328	1 185 059	–	1 185 059
Bonds – non-United States sovereigns	99 527	–	99 527	97 824	–	97 824
Commercial papers	–	934 677	934 677	–	510 193	510 193
Certificates of deposit	–	3 245 489	3 245 489	–	2 982 310	2 982 310
Term deposits	–	2 370 000	2 370 000	–	1 820 000	1 820 000
Total main pool	**4 074 918**	**6 550 166**	**10 625 084**	**4 639 912**	**5 312 503**	**9 952 415**

Financial risk management: foreign exchange risk

109. Foreign exchange risk refers to the risk that the fair value or future cash flows of a financial instrument will fluctuate as a result of changes in foreign exchange rates. ITC operates internationally and is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the Swiss franc. Management requires that ITC manage its currency risk against its functional currency by structuring contributions from the United Nations and WTO in Swiss francs, which is the foreign currency needed for operational purposes related to the regular budget. The Centre's financial assets and financial liabilities are primarily denominated in United States dollars, thereby reducing its overall foreign currency exposure. Financial liabilities, including funds received in advance and funds held on behalf of donors, are carried in the accounts in United States dollars, although some portion may be refunded in local currency at the donor's request. Currency risk related to technical cooperation projects is mitigated through contractual terms in agreements with donors that provide that ITC will not assume any financial liability in excess of the funds provided by the donor as calculated in the Centre's functional currency.

Currency exposure as at 31 December 2024

(Thousands of United States dollars)

	United States dollar	*Swiss franc*	*Euro*	*Pound sterling*	*Swedish krona*	*Other*	*Total*
Main cash pool	169 290	683	720	75	–	194	170 962
Voluntary contributions receivable	109 919	8 334	144 558	4 986	7 068	–	274 865
Other accounts receivable	–	–	–	–	–	–	–
Total financial assets	**279 209**	**9 017**	**145 278**	**5 061**	**7 068**	**194**	**445 827**

Currency exposure as at 31 December 2023

(Thousands of United States dollars)

	United States dollar	*Swiss franc*	*Euro*	*Pound sterling*	*Swedish krona*	*Other*	*Total*
Main cash pool	157 627	185	1 267	128	–	306	159 513
Voluntary contributions receivable	90 928	13 735	73 299	4 075	15 333	1 497	198 867
Other accounts receivable	–	7	–	–	–	–	7
Total financial assets	**248 555**	**13 927**	**74 566**	**4 203**	**15 333**	**1 803**	**358 387**

110. As at 31 December 2024, if the United States dollar had weakened or strengthened by 10 per cent against other currencies held in the main cash pool, voluntary contributions and other receivables with all other variables held constant, the net results for the year would have been $16.642 million (2023: $10.983 million) higher or lower mainly as a result of foreign exchange gains or losses on translation of receivables denominated in euros, pounds sterling, Swiss francs and other currencies. Similarly, the impact on net assets would have been an increase or decrease of $16.642 million (2023: $10.983 million).

Note 6
Accounts receivable

111. Current voluntary contributions receivable represent confirmed contributions that are due within 12 months, while non-current voluntary contributions receivable are due after 12 months from the date of the financial statements.

112. Current and non-current voluntary contributions receivable increased as a result of an increase in new multi-year agreements signed during the year (2024: $209.000 million; 2023: $159.336 million).

113. The non-current voluntary contributions receivable of $124.088 million (2023: $89.043 million) represents the discounted value of future year receivables calculated using the effective interest method.

Voluntary contributions receivable

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Current	150 777	109 824
Non-current	124 088	89 043
Total voluntary contributions receivable	**274 865**	**198 867**

Other accounts receivable

114. Other accounts receivable includes an inter-agency staff loan receivable, receivables from sales and other miscellaneous receivables. There were no outstanding other accounts receivable at the end of 2024.

Note 7
Other assets

115. Advances to implementing partners are covered by binding agreements containing conditions that have not been fulfilled as at the reporting date. Expenses

are recognized when conditions contained in the agreement are fulfilled. In accordance with the recommendation of the Board of Auditors, the net portion of any advances not yet delivered by year-end will be taken to expense, except for the grants that ITC has effective control over. There were no such advances taken to expense in 2024. The increase in advances to implementing partners is due to the decentralization of project delivery to local partners through signature of new agreements.

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Advances to implementing partners	12 537	10 988
Advances to United Nations Development Programme	–	482
Advances to vendors	570	1 051
Staff advances	985	1 012
Staff recoveries	16	26
Other	135	153
Total, other assets	**14 243**	**13 712**

116. No loss allowance was required for other assets in 2024. Miscellaneous receivables of $13,872 related to travel advances and debts for which there was no previous allowance were written off during 2024.

Note 8
Property, plant and equipment

(Thousands of United States dollars)

	Vehicles	*Communications and information technology equipment*	*Furniture and fixtures*	*Machinery and equipment*	*Leasehold improvements*	*Total*
Cost as at 1 January 2024	**389**	**845**	**416**	**398**	**1 054**	**3 102**
Additions	484	41	45	4	–	574
Disposals	(126)	–	–	–	–	(126)
Cost as at 31 December 2024	**747**	**886**	**461**	**402**	**1 054**	**3 550**
Accumulated depreciation as at 1 January 2024	**281**	**763**	**279**	**338**	**1 054**	**2 714**
Depreciation	75	52	23	11	–	161
Disposals	(95)	–	–	–	–	(95)
Accumulated depreciation as at 31 December 2024	**261**	**815**	**302**	**349**	**1 054**	**2 781**
Net carrying amount						
1 January 2024	**108**	**82**	**137**	**60**	**–**	**388**
31 December 2024	**486**	**71**	**159**	**53**	**–**	**769**

(Thousands of United States dollars)

	Vehicles	*Communications and information technology equipment*	*Furniture and fixtures*	*Machinery and equipment*	*Leasehold improvements*	*Total*
Cost as at 1 January 2023	**495**	**845**	**416**	**398**	**1 054**	**3 208**
Additions	–	–	–	–	–	–
Disposals	(106)	–	–	–	–	(106)
Cost as at 31 December 2023	**389**	**845**	**416**	**398**	**1 054**	**3 102**
Accumulated depreciation as at 1 January 2023	**321**	**684**	**256**	**321**	**1 054**	**2 635**
Depreciation	66	79	23	17	–	185
Disposals	(106)	–	–	–	–	(106)
Accumulated depreciation as at 31 December 2023	**281**	**763**	**279**	**338**	**1 054**	**2 714**
Net carrying amount						
1 January 2023	**174**	**161**	**160**	**77**	**–**	**573**
31 December 2023	**108**	**82**	**137**	**60**	**–**	**388**

117. ITC, in accordance with the recommendation of the Board of Auditors, performed an annual review of the residual value of the fully depreciated assets still in use, along with an impairment review that was undertaken for the 31 December 2024 reporting date. The review did not result in any equipment being considered impaired, and no residual value that was material was required to be added back. However, a total write-off amounting to $0.126 million at cost (2023: $0.106 million) occurred during the year owing to obsolescence or transfer.

Note 9
Intangible assets

(Thousands of United States dollars)

	Software developed internally	*Software under development*	*Total*
Opening cost as at 1 January 2024	**7 314**	**–**	**7 314**
Additions	–	204	204
Transfers	–	–	–
Total cost as at 31 December 2024	**7 314**	**204**	**7 518**
Opening accumulated amortization as at 1 January 2024	**5 715**	**–**	**5 715**
Amortization	682	–	682
Closing accumulated amortization as at 31 December 2024	**6 397**	**–**	**6 397**
Net book value as at 1 January 2024	**1 599**	**–**	**1 599**
Net book value as at 31 December 2024	**917**	**204**	**1 121**

(Thousands of United States dollars)

	Software developed internally	*Software under development*	*Total*
Opening cost as at 1 January 2023	**7 134**	**70**	**7 204**
Additions	110	–	110
Transfers	70	(70)	–
Total cost as at 31 December 2023	**7 314**	**–**	**7 314**
Opening accumulated amortization as at 1 January 2023	**4 895**	**–**	**4 895**
Amortization	820	–	820
Closing accumulated amortization as at 31 December 2023	**5 715**	**–**	**5 715**
Net book value as at 1 January 2023	**2 239**	**70**	**2 309**
Net book value as at 31 December 2023	**1 599**	**–**	**1 599**

118. The Centre's intangible assets consist of a suite of online tools and databases through which its beneficiaries can make global trade more transparent and facilitate access to new markets. The aggregate amount of research and development expenditure during 2024 was $0.240 million of which $0.036 million was recognized as an expense during 2024 and $0.204 million was capitalized as internally developed assets. As at 31 December 2024, ITC had 18 intangible assets in total. The carrying amounts of these intangible assets, which in total amount to $1.121 million, were individually not material to the ITC financial statements for separate disclosure.

Note 10
Accounts payable and accrued liabilities

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Payables to donors	4 931	1 436
Vendor and other payables	4 370	3 752
Accruals for goods and services	7 128	2 708
Total accounts payable and accrued liabilities	**16 429**	**7 896**

119. Payables to donors consist of the balance of unspent contributions for closed projects pending refund or reprogramming, interest income from non-conditional contributions which is repayable to donors, and balances due to the United Nations and WTO for overpayment, savings or surplus from assessed contributions. The increase is due to projects closed in 2024 with high unspent balances refundable to donors.

120. Vendor and other payables relate mainly to payables to commercial vendors and consultants. The increase in vendor and other payables is attributable to the invoices recorded at year-end for which disbursements were processed the following year. The increase in the accruals for goods and services is related to the delivered goods and services rendered before the year-end but not yet invoiced by suppliers or implementing partners.

Note 11
Liabilities for conditional arrangements

121. ITC recognizes monetary voluntary contributions with conditions attached as a liability. Conditions are imposed by donors on the use of contributions and include both a performance obligation to use donations in a specified manner and an enforceable obligation to return the donation if it is not used in the specified manner. The amount recognized as a liability is the unexpended balance of the contribution as at the reporting date. As ITC satisfies the conditions on voluntary contributions through expenditure of the funds in the specified manner, the carrying amount of the liability is reduced and an amount of revenue equal to the reduction is recognized.

122. Current and non-current liabilities for conditional arrangements of $279.068 million (2023: $212.205 million) consist mainly of conditional agreements with the European Union and other donors. The increase in liabilities for conditional arrangements is primarily driven by new multi-year conditional agreements signed during the year, which totalled $153.854 million (2023: $109.016 million). The increase in liabilities was partially offset by higher revenue recognized during the year, which amounted to $67.760 million in 2024 (2023: $59.692 million).

Liabilities for conditional arrangements

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Current	79 679	71 725
Non-current	199 389	140 480
Total liabilities for conditional arrangements	**279 068**	**212 205**

Other liabilities

123. ITC recognizes as a liability any amount received as a voluntary contribution before an agreement is reached with the donor on the use of the contribution or contributions that are awaiting programming of specific project activities.

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Advance receipts and deferred revenue		
Current	749	735

Note 12
Employee benefits liabilities

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Current liabilities		
Accrued salaries, allowances and benefits	1 054	499
Accumulated annual leave	564	590
Home leave	990	890
Repatriation grant	872	989
After-service health insurance	2 528	2 261
Subtotal current liabilities	**6 008**	**5 229**
Non-current liabilities		
Accumulated annual leave	4 691	4 992
Repatriation grant	7 512	7 754
After-service health insurance	170 741	147 729
Subtotal non-current liabilities	**182 944**	**160 475**
Total employee benefits liabilities	**188 952**	**165 704**

124. The liabilities arising from end-of-service or post-employment benefits are determined by independent actuaries in accordance with IPSAS 39, Employee Benefits. The full actuarial valuation for after-service health insurance, annual leave and repatriation benefits is usually undertaken every two years with a rolled forward valuation performed between full valuation cycles. The most recent full actuarial valuation was conducted as at 31 December 2023, while actuarially valued balances as at 31 December 2024 represented a roll forward of the December 2023 valuation results.

125. The methodology for estimating the amounts of each liability is as follows:

(a) *Home leave*. Non-locally recruited staff are entitled to reimbursement of the costs of travel to their home country in the second year after their initial appointment and every second year thereafter. The liability recorded relates to the value of home leave entitlements that have been earned by officials but not taken as at the reporting date. The liability for home leave is considered a short-term benefit and is recognized at its estimated undiscounted value.

(b) *Accumulated annual leave*. Other long-term benefits include accumulated annual leave. The liabilities for annual leave represent unused accumulated leave days that are projected to be settled through a monetary payment to employees upon their separation from ITC. The Centre recognizes as a liability the actuarial value of the total accumulated unused leave days of all staff members, up to a maximum of 60 days (18 days for temporary staff) as at the date of the statement of financial position. The methodology applies a last-in, first-out assumption in the determination of the annual leave liabilities whereby staff members access current-period leave entitlements before they access accumulated annual leave balances relating to prior periods. Unused annual leave is calculated at 1/261 of net salary plus post adjustment for staff in the Professional and higher categories and 1/261 of net salary for staff in the General Service and related categories. The portion of the accumulated annual leave benefit that is expected to be settled through monetary payment within

12 months after the reporting date is classified under current liabilities and the rest is classified under other long-term benefits and is actuarially valued.

(c) *Repatriation grant and travel*. In accordance with the Staff Regulations and Rules of the United Nations, non-locally recruited staff are entitled to a grant on separation from service based on the number of years of service worked outside their home country, if they have completed at least one year of service outside their home country. The grant is calculated on the basis of net salary for staff in the Professional and higher categories. In addition, non-locally recruited ITC staff are entitled to reimbursement of travel and transport of personal effects on separation for themselves, their spouses and their dependent children. The portion of the repatriation grant and travel that is expected to be settled through monetary payment within 12 months after the reporting date is classified under current liabilities. The repatriation grant and related travel is classified under post-employment benefits and is actuarially valued. Staff members are eligible to receive a repatriation grant upon separation from service provided that they have been in service for at least five years in a duty station outside their country of nationality.

(d) *After-service health insurance*. Staff members (and their spouses, dependent children and survivors) retiring from service at the age of 55 or older are eligible for after-service health insurance coverage if they have contributory health insurance coverage prior to retirement for at least 5 years of service for staff hired before 1 July 2007 and 10 years of service for staff hired after 1 July 2007. Staff hired after 1 July 2007 who retire with less than 10 years but more than 5 years of coverage receive unsubsidized coverage until they have been enrolled for 10 years, at which time the coverage is subsidized. The Centre's liability for after-service health insurance is calculated as the residual liability after deducting contributions from retirees and a portion of the contribution from active staff in accordance with cost-sharing ratios authorized by the General Assembly that require the Centre's share of the liability not to exceed one half of the total gross liability. The after-service health insurance programme is funded on a pay-as-you-go basis as medical benefits are accessed by retirees, with increasing costs attributable notably to changing demographics, improved life expectancy and increased cost of healthcare services. To address the growing costs of health insurance, the United Nations has over the years adopted cost containment initiatives while ensuring that participants continue to have access to appropriate insurance coverage to meet their healthcare needs. Health insurance costs are controlled by the manner in which the plans are structured and through ongoing reviews of plan provisions and benefits offered. To manage the inherent risks related to funding, the United Nations periodically carries out a funding study of the after-service health insurance programme in order to analyse and explore options for the improvement of efficiency and the containment of costs and liabilities associated with the health insurance obligations.

(e) The mandatory age of retirement for staff who joined the United Nations on or after 1 January 2014 is 65; for those who joined before 1 January 2014 it is 60 or 62. The General Assembly decided to extend the mandatory age of separation to 65 for staff recruited by organizations of the United Nations common system before 1 January 2014, taking into account the acquired rights of staff by 1 January 2018 at the latest. This change was implemented as at 1 January 2018 and affects future calculations of employee benefits liabilities.

126. For 2024, the gross liability for all post-employment defined benefit plans was calculated by the actuary as $272.328 million (2023: $238.393 million), offset by contributions from plan participants of $85.420 million (2023: $74.078 million) to equal the Centre's net liability of $186.908 million (2023: $164.315 million). The total increase of $22.593 million is the result of a $16.471 million net actuarial loss

(2023: $6.414 million loss) recognized in net assets, and $6.122 million (2023: $5.870 million) in current service costs and interest, net of benefit payments recognized in the statement of financial performance as a component of staff costs.

Movement in employee benefits liabilities accounted for as defined benefits plans

(Thousands of United States dollars)

	After-service health insurance	*Repatriation grant*	*Accumulated annual leave*	*Total*
Defined benefit obligation as at 31 December 2023	**149 990**	**8 743**	**5 582**	**164 315**
Current service cost	5 916	304	293	6 513
Interest cost	2 777	409	263	3 449
Benefits paid (net of participant contributions)	(2 261)	(989)	(590)	(3 840)
Liability (gains)/losses due to actuarial financial assumptions	16 847	(391)	(293)	16 163
Change in discount rate	*15 637*	*(455)*	*(293)*	*14 889*
Change in medical inflation rate	*1 210*	*64*	–	*1 274*
Liability (gains)/losses due to changes in experience adjustments	–	308	–	308
Defined benefit obligation as at 31 December 2024	**173 269**	**8 384**	**5 255**	**186 908**

127. The interest cost and current service costs related to the defined benefit obligation for after-service health insurance liability, repatriation grant and travel and accumulated leave are recognized in the statement of financial performance as a component of staff costs. Any actuarial gains or losses for the defined benefit plans that result from changes in actuarial assumptions or experience adjustments, including experience adjustments related to other long-term benefits, are directly recognized in the statement of changes in net assets.

128. The total actuarial gain/(loss) recognized directly in net assets in the statement of changes in net assets in 2024 and 2023 is shown in the following table:

(Thousands of United States dollars)

	After-service health insurance	*Repatriation grant*	*Accumulated annual leave*	*Total*
Gain/(loss) in 2024	(16 847)	83	293	(16 471)
Gain/(loss) in 2023	(6 347)	(728)	661	(6 414)

Actuarial valuation: assumptions

129. Each year, ITC reviews and selects assumptions and methods that will be used by the actuaries in the valuation to determine the expense and contribution requirements for the Centre’s after-service health insurance plans. The following assumptions and methods have been used in the valuation of these liabilities:

Assumption	*After-service health insurance*	*Repatriation grant*	*Accumulated annual leave*
Discount rate (31 December 2024)	1.69	5.64	5.49
Discount rate (31 December 2023)	2.04	4.95	4.99
Travel inflation (31 December 2024)		2.50	
Travel inflation (31 December 2023)		2.30	
Healthcare cost trend rate (31 December 2024)	6.00 trending down to 2.15 in eight years		
Healthcare cost trend rate (31 December 2023)	8.00 trending down to 2.35 in five years		
Salary increase rate	Based on age and calculated separately for Professional and General Service staff		
Estimated duration of the liability, years	24	9	9

130. For the 2023 actuarial valuations, Aon Hewitt developed the yield curves used in the calculation of the discount rates in respect of the United States dollar and the Swiss franc. This is consistent with the decision of the Task Force on Accounting Standards established under the auspices of the Finance and Budget Network of the High-level Committee on Management of the United Nations System Chief Executives Board for Coordination taken in the context of the harmonization of actuarial assumptions across the United Nations system and the recommendation of the Advisory Committee on Administrative and Budgetary Questions (A/71/815, para. 26), which was endorsed by the General Assembly in section IV of its resolution 71/272 B.

131. The per capita claim costs for the after-service health insurance plans are updated to reflect recent claims and enrolment experience. The table below shows the per capita claims cost assumption at 65 years old.

Per capita claims cost

(United States dollars)

Plan	*2024*	*2023*
Non-United States plans		
UNSMIS	6 578	6 093
Cigna WWP/FMIP/SMIP/GKK	3 771	3 494
MIP administered by UNDP	1 552	1 438

Abbreviations: FMIP, full medical insurance plan; GKK, Wiener Gebietskrankenkasse; MIP, medical insurance plan; SMIP, supplemental medical insurance plan; UNDP, United Nations Development Programme; UNSMIS, United Nations Staff Mutual Insurance Society against Sickness and Accidents; WWP, worldwide plan.

132. The healthcare cost trend rate assumption reflects the current short-term expectations of the after-service health insurance plan cost increases and the economic environment. The Aon Hewitt assumption on healthcare cost trend rates in Swiss francs was used for the 2023 and 2024 valuations.

133. With regard to the valuation of repatriation benefits as at 31 December 2024, the Aon Hewitt assumption on inflation in travel costs was based on the projected United States inflation rate over the next 20 years.

134. Annual leave balances were assumed to increase at the following annual rates during the staff member's projected years of service: 0–1 year: 8.1 days; 2–3 years:

4.1 days; 4–8 years: 1.9 days; 9–15 years: 1.0 day; and more than 15 years: 0.4 days, up to the maximum of 60 days for regular staff and 18 days for temporary staff.

135. Pre-retirement mortality as well as withdrawal and retirement assumptions are consistent with those used by the United Nations Joint Staff Pension Fund in making its actuarial valuation. In line with the recommendations of the Task Force on Accounting Standards, the post-retirement mortality table applied for the December 2023 and 2024 valuations is the weighted headcount mortality table provided by Buck, a firm which provides pensions and employee benefits consulting services.

136. The table below presents the currency allocation used to determine the discount rates and healthcare cost trend rates applicable to each plan. For currencies other than the United States dollar, the euro or the Swiss franc, the United States dollar was used as a proxy for the computation of the rates.

Benefits plan		*United States dollar*	*Swiss franc*	*Euro*
After-service health insurance	Cigna WWP	73%	6%	21%
	MIP administered by UNDP	95%	–	5%
	UNSMIS	12%	75%	13%
Repatriation grant		100%	–	–
Annual leave		100%	–	–

Abbreviations: MIP, medical insurance plan; UNDP, United Nations Development Programme; UNSMIS, United Nations Staff Mutual Insurance Society against Sickness and Accidents; WWP, worldwide plan.

Sensitivity analysis

137. The principal financial assumptions used in the valuation of the defined benefit obligations of ITC as at 31 December 2023 were:

(a) Healthcare trend rate, i.e. the rate at which medical costs are expected to increase in the future;

(b) Discount rate curve;

(c) Per capita claim costs;

(d) Mortality rates.

138. The sensitivity analysis looks at the change in liability due to changes in the rate of each main assumption while holding other principal assumptions constant.

139. Should the medical cost trend assumption or discount rate vary by 0.5 per cent, this would affect the measurement of the defined benefit obligations as follows:

(Thousands of United States dollars)

2024	*Increase*		*Decrease*	
0.5 per cent movement in the assumed medical costs trend rate				
Effect on the defined benefit obligation (after-service health insurance)	14.30%	24 778	(12.08%)	(20 938)
Effect on the aggregate of the current service cost and interest cost (after-service health insurance)	1.13%	1 955	(0.91%)	(1 574)

(Thousands of United States dollars)

2023	*Increase*		*Decrease*	
0.5 per cent movement in the assumed medical costs trend rate				
Effect on the defined benefit obligation (after-service health insurance)	12.85%	19 268	(10.96%)	(16 437)
Effect on the aggregate of the current service cost and interest cost (after-service health insurance)	1.11%	1 658	(0.89%)	(1 337)

(Thousands of United States dollars)

2024	*Increase*	*Decrease*
0.5 per cent movement in the assumed discount rate		
Effect on the after-service health insurance-defined benefit obligation	(20 053)	23 913
Effect on the repatriation grant defined benefit obligation	(314)	337
Effect on the annual leave defined benefit obligation	(200)	216

(Thousands of United States dollars)

2023	*Increase*	*Decrease*
0.5 per cent movement in the assumed discount rate		
Effect on the after-service health insurance-defined benefit obligation	(16 906)	20 083
Effect on the repatriation grant defined benefit obligation	(335)	360
Effect on the annual leave defined benefit obligation	(222)	238

140. The claims cost sensitivity analysis, at 65 years, is presented below:

(Thousands of United States dollars)

Scenario	*After-service health insurance defined benefit liability as at 31 December 2024*	*Impact*
Central	173 269	–
Increase by 1 per cent	174 998	1 729
Decrease by 1 per cent	171 541	(1 728)

141. The sensitivity analysis for changes in life expectancy is summarized below:

(Thousands of United States dollars)

Scenario	*After-service health insurance defined benefit liability as at 31 December 2024*	*Impact*
Central	173 269	–
Increase by 1 year	183 418	10 149
Decrease by 1 year	163478	(9 791)

Present value of liability for defined benefit obligations by fund as at 31 December

(Thousands of United States dollars)

	General Fund		*Programme support costs*		*Extrabudgetary*		*Total*	
	2024	*2023*	*2024*	*2023*	*2024*	*2023*	*2024*	*2023*
After-service health insurance	**109 455**	**97 295**	**14 299**	**12 116**	**49 515**	**40 579**	**173 269**	**149 990**
Current	1 784	1 581	203	185	541	495	2 528	2 261
Non-current	107 671	95 714	14 096	11 931	48 974	40 084	170 741	147 729
Repatriation grant	**3 392**	**3 644**	**408**	**432**	**4 584**	**4 667**	**8 384**	**8 743**
Current	475	517	33	53	364	419	872	989
Non-current	2 917	3 127	375	379	4 220	4 248	7 512	7 754
Accumulated annual leave	**2 395**	**2 638**	**405**	**406**	**2 455**	**2 538**	**5 255**	**5 582**
Current	309	346	29	34	226	210	564	590
Non-current	2 086	2 292	376	372	2 229	2 328	4 691	4 992
Total	**115 242**	**103 577**	**15 112**	**12 954**	**56 554**	**47 784**	**186 908**	**164 315**

Historical present value of liability for defined benefit obligations as at 31 December

(Thousands of United States dollars)

	2024	*2023*	*2022*	*2021*	*2020*
After-service health insurance	173 269	149 990	138 043	167 077	164 795
Repatriation benefits	8 384	8 743	8 166	10 125	8 754
Annual leave	5 255	5 582	5 822	6 878	5 076
Total	**186 908**	**164 315**	**152 031**	**184 080**	**178 625**

Funding of defined benefit liabilities – extrabudgetary resources

142. With effect from 1 January 2017, the Centre began to accrue 3 per cent on gross salary plus post adjustment for staff funded from extrabudgetary resources in respect of staff retiring from positions funded from extrabudgetary resources as a reserve to cover the Centre's after-service health insurance obligation. The rate was subsequently increased to 6 per cent on 1 January 2019.

143. The Centre accrues 8 per cent on gross salary less staff assessment for staff funded from extrabudgetary resources, including the programme support cost fund, as a reserve to cover the Centre's repatriation grant obligation.

144. The following table summarizes the funding position of actuarially valued liabilities pertaining to extrabudgetary resources as at 31 December 2024.

(Thousands of United States dollars)

Attributable to extrabudgetary resources, including the programme support cost fund	*Liability*	*Funded*	*Unfunded*	*Percentage of liability funded*
After-service health insurance and repatriation benefits	68 806	27 547	41 259	40
Annual leave	2 860	–	2 860	–
Total	**71 666**	**27 547**	**44 119**	**38**

145. Defined benefit liabilities pertaining to the regular budget have not been funded. The pertinent budget is provided on the basis of claims experience in the previous years.

United Nations Joint Staff Pension Fund

146. It is stated in the Regulations of the Pension Fund state that the United Nations Joint Staff Pension Board shall have an actuarial valuation made of the Fund at least once every three years by the consulting actuary. The practice of the Pension Board has been to carry out an actuarial valuation every two years using the open aggregate method. The primary purpose of the actuarial valuation is to determine whether the current and estimated future assets of the Fund will be sufficient to meet its liabilities into perpetuity. The Fund's published funding policy (available on the Fund's website) sets out the methods, processes and targets that are used to monitor the funding position and associated risks. This also includes the practice of utilizing an actuarial value of assets, which smooths short-term investment gains and losses for the purpose of reporting long-term solvency.

147. The Centre's financial obligation to the Fund consists of its mandated contribution, at the rate established by the General Assembly (currently at 7.9 per cent of pensionable remuneration for participants and 15.8 per cent for member organizations) together with any share of any actuarial deficiency payments under article 26 of the Regulations of the Fund. Such deficiency payments are payable only if and when the General Assembly invokes the provision of article 26, following a determination that there is a requirement for deficiency payments based on an assessment of the actuarial sufficiency of the Fund as at the valuation date. Each member organization shall contribute to this deficiency an amount proportionate to the total contributions that each paid during the three years preceding the valuation date. It has never been necessary to invoke article 26, and no deficiency payments have ever been requested.

148. The most recent actuarial valuation for the Fund was completed as at 31 December 2023, and a roll forward of the participation data as at 31 December 2023 to 31 December 2024 will be used by the Fund for the purpose of reporting an actuarial present value of accumulated plan benefits in its 2024 financial statements.

149. The actuarial valuation as at 31 December 2023 resulted in a funded ratio of actuarial assets to actuarial liabilities of 111.0 per cent (117.0 per cent in the 2021 valuation) when future expected pension adjustments (cost-of-living indexation of benefits) were taken into account. The reported funded ratio was 152.0 per cent (158.2 per cent in the 2021 valuation) when the current system of pension adjustments was not taken into account and would be the measure by which actuarial sufficiency is established under article 26.

150. After assessing the actuarial sufficiency of the Pension Fund, the consulting actuary concluded that there was no requirement, as at 31 December 2023, for deficiency payments under article 26, given that the actuarial value of assets exceeded the actuarial value of all accrued liabilities under the plan. At the time of reporting, the General Assembly had not invoked the provision of article 26.

151. Should article 26 be invoked due to an actuarial deficiency, either during the ongoing operation or due to the termination of the Pension Fund, deficiency payments required from each member organization would be based upon the proportion of that member organization's contributions to the total contributions paid to the Fund during the three years preceding the valuation date. Total contributions paid to the Fund during the preceding three years (2021, 2022 and 2023) amounted to $9,499.41 million, of which 0.32 per cent was contributed by ITC.

152. During 2024, contributions paid to the Fund by ITC amounted to $11.418 million (2023: $10.752 million). Expected contributions due in 2025 are anticipated to be at the same level.

153. Membership of the Fund may be terminated by a decision of the General Assembly, upon the affirmative recommendation of the Pension Board. A proportionate share of the total assets of the Fund at the date of termination shall be paid to the former member organization for the exclusive benefit of its staff who were participants in the Fund at that date, pursuant to an arrangement mutually agreed between the organization and the Fund. The amount is determined by the Pension Board on the basis of an actuarial valuation of the assets and liabilities of the Fund on the date of termination; no part of the assets which are in excess of the liabilities are included in the amount.

154. The Board of Auditors carries out an annual audit of the Fund and reports to the Pension Board and to the General Assembly on the audit every year. The Fund provides weekly information on its investments, which can be viewed on the Fund's website (www.unjspf.org).

Note 13
Provisions

155. There were no newly established provisions in 2024.

Note 14
Reserves

156. The movements in operating reserves are shown below. The increase in the trust fund operating reserve is due to higher interest earned on donor contributions where ITC is allowed to keep the interest or residual balances (2024: $5.268 million; 2023: $5.017 million).

(Thousands of United States dollars)

	Trust fund	*Programme support fund*	*Fair value*	*Total*
Opening balance as at 1 January 2023	**13 463**	**1 961**	**–**	**15 424**
Interest income and residual donor balances	5 017	–	–	5 017
20 per cent adjustment, in accordance with ST/AI/286	–	(170)	–	(170)
Closing balance as at 31 December 2023	**18 480**	**1 791**	**–**	**20 271**
Fair value transferred to reserves	**–**	**–**	**(495)**	**(495)**
Balance as at 1 January 2024 (restated)	**18 480**	**1 791**	**(495)**	**19 776**
Interest income and residual donor balances	5 268	–	–	5 268
20 per cent adjustment, in accordance with ST/AI/286	–	229	–	229
Total transfers	**5 268**	**229**	**–**	**5 497**
Fair value changes	–	–	296	296
Closing balance as at 31 December 2024	**23 748**	**2 020**	**(199)**	**25 569**

157. In accordance with IPSAS 41, gains and losses on financial assets measured at fair value through net assets/equity are to be presented in a dedicated reserve. As at the reporting date, the prior year's unrealized gain/loss reported under the fair value

reserve amounted to a deficit of $0.199 million (2023: $0.495 million) representing the net cumulative impact of the year-end revaluation on investments.

Note 15
Revenue

Assessed contributions

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
United Nations	21 632	20 179
World Trade Organization	21 632	20 179
Subtotal	**43 264**	**40 358**
Refunds to donors for prior-year surplus and savings	(10)	(32)
Total assessed contributions net of refunds	**43 254**	**40 326**

158. Assessed contributions are contributions received from the United Nations and WTO. Under the terms of General Assembly resolution 2297 (XXII) of 12 December 1967 and the decision of the Contracting Parties to the General Agreement on Tariffs and Trade dated 22 November 1967, as well as the administrative arrangements between the United Nations and WTO, the regular budget of ITC is assessed in Swiss francs and funded equally by the United Nations and WTO.

159. The revised administrative arrangements for ITC were endorsed in 2024 by the General Assembly (resolution 79/259) and the WTO General Council (WT/BFA/220). The revised administrative arrangements consolidate two decades of changes in the budgeting processes of both organizations into a single document, incorporating technical and administrative updates that had not been previously documented in one place. It also streamlines the budget format and review timeline, ensuring alignment between the United Nations annual budget cycle and the WTO biennial cycle.

160. The contributions are determined on the basis of the annual budget of the United Nations and the biennial budget of WTO, adjusted for exchange rate fluctuations and inflation, and are recorded as at the first day of the year to which they relate. Contributions are approved to be assessed for a one-year budget period, or a portion thereof or for multiple years. Where budgets or appropriations are approved for multiple years, the related contributions are apportioned among the years of the budget period for payment. Assessed contributions are considered to be without conditions.

161. For the year ended 31 December 2024, total assessed contributions net of refunds amounted to $43.254 million, reflecting an increase of 7.3 per cent compared with $40.326 million in 2023. The contributions were equally funded by the United Nations and WTO, each providing $21.632 million in 2024, compared with $20.179 million in the prior year. The increase in assessed contributions from the prior year is primarily due to the favourable exchange rate of the United States dollar against the Swiss franc throughout 2024. As the ITC budget is adopted in Swiss francs, contributions are received on a monthly basis and translated into United States dollars at the United Nations operational rate of exchange at the time of the transaction. This exchange rate movement resulted in higher United States dollar equivalent contributions compared with 2023.

Voluntary contributions and other transfers and allocations

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Voluntary contributions	117 721	104 973
Contributions in kind	3 242	3 564
Refunds to donors for voluntary contributions	(452)	(439)
Subtotal	**120 511**	**108 098**
Other transfers and allocations	5 941	3 219
Refunds to donors for other transfers and allocations	(70)	(74)
Subtotal	**5 871**	**3 145**
Total voluntary contributions and other transfers and allocations net of refunds	**126 382**	**111 243**

162. Voluntary contributions through donor agreements are recognized as revenue at the point of signature except where such agreements contain a condition requiring specific performance and return of unexpended funds. Voluntary contributions include programme support revenue charged in accordance with United Nations financial procedures at 13 per cent on extrabudgetary financed activities, 12 per cent for Associate Experts, and between 7 per cent and 14 per cent for the European Commission, the Enhanced Integrated Framework, the One United Nations initiative and projects funded by other United Nations agencies, and for non-reimbursable loans of personnel services from sources external to the United Nations Common System or any other exceptional rate pre-approved by the Controller of the United Nations.

163. Other transfers and allocations primarily consist of inter-organizational agreements and multi-donor initiatives, such as those under the Enhanced Integrated Framework trust fund, the One United Nations Fund, or pooled funds managed by United Nations organizations.

164. Total voluntary contributions and other transfers and allocations net of refunds amounted to $126.382 million, representing a 13.6 per cent increase compared with $111.243 million in 2023. The rise in voluntary contributions is attributed to increased donor commitments. The growth in other transfers and allocations results from fund allocation decisions and a higher volume of inter-organizational funding arrangements. Refunds to donors for voluntary contributions remained stable at approximately $0.452 million, indicating consistent compliance with donor conditions.

165. In 2024, ITC experienced a significant increase in both unconditional and conditional agreements reaching $209.000 million (2023: $159.336 million). The increase in multi-year conditional agreements signed in 2024 resulted in an increase in receivables with a corresponding rise in deferred liabilities for conditional arrangements while revenue will be recognized in future periods on the basis of performance.

166. The breakdown for voluntary contributions and other transfers and allocations by type of agreement is as follows:

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Contributions from unconditional agreements	55 902	48 500
Contributions from conditional agreements	67 760	59 692
Total voluntary contributions and other transfers and allocations[a]	**123 662**	**108 192**

[a] The amount includes the discounted value of future-year receivables.

167. The total unconditional voluntary contributions and other transfers and allocations of $55.902 million consists of approximately $24.610 million for 2024 and $31.292 million for future years (2025: $17.795 million; 2026: $9.396 million; 2027: $3.338 million; 2028: $0.763 million).

168. The total amount of donor pledges that have not been formalized is $37 million (2023: $115 million).

Contributions in kind

169. Contributions in kind of $3.242 million (2023: $3.564 million) consist of the rental subsidy from the Fondation des immeubles pour les organisations internationales, which is the difference between the market value of the rental and the actual rent paid. A matching in-kind rent is expensed at the same time as the contribution is recognized as revenue. There were 36 operating leases in 2024 (2023: 33) for ITC project offices in the field, 3 of which were on a free rental basis (2023: 4) and the fair value of each of those properties was estimated to be less than the recognition threshold of $5,000.

170. Services in kind, consisting mainly of contributions to conferences, workshops and training, were estimated at $1.683 million (2023: $3.048 million) received mainly from governments, government agencies and non-governmental organizations in support of projects and field office operations during the year. The amount is measured at fair value. The in-kind services are not recognized in the financial statements.

Other revenue

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Services rendered	192	207
Net foreign exchange gain	905	1 614
Other revenue	255	281
Total other revenue	**1 352**	**2 102**

171. Other revenue includes proceeds from sales of statistical data to governments and other entities, net foreign exchange gain, and other miscellaneous income. The decrease in total other revenue (2024: $1.352 million; 2023: $2.102 million) is largely due to the reduced net foreign exchange gains resulting from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies.

Investment revenue

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Investment revenue	6 685	5 854
Total investment revenue	**6 685**	**5 854**

172. Investment revenue includes the ITC share of net cash pool revenue earned in the main cash pool managed by the United Nations Treasury, which centrally invests the funds on behalf of ITC. As shown in note 5, the revenue of the main pool attributable to ITC in 2024 amounts to $7.364 million (2023: $6.437 million), of which $6.685 million was classified as investment revenue, $0.312 million classified as an additional voluntary contribution and $0.367 million classified as payable to donors. The increase is attributable mainly to bank interest income resulting from the higher interest rate environment.

Note 16
Expenses

Employee salaries, allowances and benefits

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Staff salaries, wages and allowances	64 113	59 161
Pension costs and insurance benefits	21 496	19 754
Other benefits	433	996
Total employee salaries, allowances and benefits	**86 042**	**79 911**

173. Employee salaries, allowances and benefits include all international and national staff expenses such as salaries, post adjustment, entitlements, pensions and health plan contributions for staff in the Professional and higher categories and in the General Service and related categories, as well as staff expenses relating to general temporary assistance and after-service health insurance expenses for former ITC staff. The increase year over year is due to an increase in project personnel funded from voluntary contributions and an increase in the United States dollar equivalent of the salaries of staff in the General Service category, which is denominated in Swiss francs. Part of the increase is also attributable to mandatory increases in staff remuneration due to inflation.

Non-employee compensation and allowances

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Individual consultant fees and insurance	24 636	26 348
Individual contractor costs	826	1 011
Travel of non-employees	2 773	2 895
Total non-employee compensation and allowances	**28 235**	**30 254**

174. Non-employee compensation and allowances are costs of individual contractors and consultants, including related insurance and travel expenses. The total non-employee compensation and allowances declined from $30.254 million in 2023 to $28.235 million in 2024, representing a reduction of $2.019 million. This decrease is attributed to a reduced dependence on consultants and a greater reliance on in-house resources. The reduction also aligns with extrabudgetary project budgets and planned activities. Travel expenses for non-employees saw a slight decline, reflecting cost-saving measures driven by increased adherence to the 21-day advance booking rule.

Travel

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Staff travel	5 754	5 149
Representative travel	4 760	4 393
Total travel	**10 514**	**9 542**

175. Travel relates to the regular travel of staff, meeting participants and persons on missions related to official business. Total travel expenses increased by 10.2 per cent, from $9.542 million in 2023 to $10.514 million in 2024 due to the ongoing implementation of ITC projects and engagement with beneficiaries in the field. Travel costs have risen at a rate higher than inflation, as airfare prices for many destinations have seen significant increases.

Grants and other transfers

176. Grants and other transfers are financial contributions made to end beneficiaries, implementing partners, agencies and other entities. The increase from $8.724 million in 2023 to $14.934 million in 2024, a 71.2 per cent rise, reflects higher reliance on and increased subcontracting to implementing partners and payments to grant beneficiaries. This growth is in line with the expansion of the ITC project portfolio and the scaling up of its operations.

Supplies and consumables

177. Supplies and consumables amounting to $1.018 million (2023: $0.698 million) include items customarily consumed on a daily basis, such as stationery, office supplies, fuel and other consumables. The expensed amount in 2024 increased from the prior period and aligns with extrabudgetary project needs for supplies and consumables.

Other operating expenses

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Contracted services	22 888	19 831
Acquisitions of goods	1 228	1 696
Acquisitions of intangible items	575	749
Rent, office and premises	2 065	2 003
Rental equipment	183	222
Maintenance and repair	216	259
Bad debt expense	94	20
Other	207	221
Total other operating expenses	**27 456**	**25 001**

178. The increase in operating expenses is primarily driven by higher contracted service costs for project activities in line with project budgets, offset by slightly lower acquisitions of goods and intangible assets

Other expenses

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Expense for contributions in kind	3 242	3 564
Other	1	1
Total other expenses	**3 243**	**3 565**

179. Included in the expense for contributions in kind is the rental subsidy from the Fondation des immeubles pour les organisations internationales in the amount of $3.242 million (2023: $3.564 million), which is the difference between the market value of the rental and the actual rent paid. A matching in-kind contribution is recognized as revenue at the same time as the rent is recognized as an expense. The decrease from the prior year is due to fluctuations in the exchange rate, which affect the equivalent value of the rent subsidy denominated in Swiss francs when converted to United States dollars, offset by a slight increase in the yearly rent.

Note 17
Budget comparison and reconciliation

180. The General Assembly and the General Council of WTO approve the budget of ITC. The budget may be subsequently amended by the Assembly, by the Council or through the exercise of delegated authority.

181. The Centre’s budget is prepared on a modified cash accounting basis, and the financial statements are prepared on a full accrual basis in accordance with IPSAS.

182. Statement V, Comparison of budget and actual amounts, compares the final budget to actual amounts calculated on the same basis as the corresponding budgetary amounts. The comparison is made only in respect of the publicly available regular budget.

Movement between original and final budgets (regular budget)

183. Since the original budget is adopted in Swiss francs, the final budget takes into consideration the result of exchange rate changes between Swiss francs and United States dollars taking place between the adoption of the original budget and the reporting date.

Budget to actual variance analysis

184. Explanations of material differences between the original budget and the final budget and between the final budget and the actual amounts are presented in the report of the Executive Director on the financial year accompanying these financial statements (see chap. IV above).

Reconciliation between the actual amounts on a comparable basis and the statement of financial performance

185. The statement of comparison of budget and actual amounts (statement V) includes the original and final budget and the actual revenue and expense on the same basis as the budget.

186. As the basis used to prepare the budget and the one used to prepare the financial statements differ, this note provides reconciliation between the actual amounts presented in statement V and the actual amounts presented in the statement of cash flows.

187. The actual amounts presented on a comparable basis in the statement of comparison of budget and actual amounts have been reconciled to the actual amounts presented in the statement of cash flows, identifying separately any basis, timing and entity differences, as follows:

(a) Basis differences capture the differences resulting from preparing the budget on a modified cash basis. To reconcile the budgetary results to the statement of cash flows, the modified-cash elements such as unliquidated obligations, which are commitments against the budget but do not represent a cash flow, must be eliminated. Similarly, IPSAS-specific differences, such as investing cash flows relating to acquisition of property, plant and equipment or intangibles, and indirect operating cash flows relating to changes in receivables due to movements in the allowance for doubtful receivables and accrued liabilities, are included as basis differences to reconcile to the statement of cash flows;

(b) Presentation differences are differences in the format and classification schemes in the statement of cash flows and the statement of comparison of budget and actual amounts, which include the latter not presenting revenue and the net changes in cash pool balances. Other presentation differences are that the amounts included in the statement of comparison of budget and actual amounts are not segregated into operating, investing and financing activities;

(c) Timing differences occur when the budget period differs from the reporting period reflected in the financial statements. For the purposes of comparison of budget and actual amounts, there are no timing differences for ITC;

(d) Entity differences represent fund groups other than the regular budget that are reported in the financial statements. The financial statements include results for all funds.

188. The reconciliation between the actual amounts presented in statement V and the actual amounts presented in the statement of cash flows is as follows:

Reconciliation of actual amounts on a comparable basis and actual amounts in the cash flow

(Thousands of United States dollars)

	Operating	*Investing*	*Financing*	*Total*
Actual amount on a comparable basis (statement V)	**(43 533)**	**–**	**–**	**(43 533)**
Basis differences				
Elimination of unliquidated obligations	210	–	–	210
Accruals of expenses	(548)	–	–	(548)
Expenditure against prior period	104	–	–	104
Exchange gains/losses	15	–	–	15
Share of joint arrangement	(17)	–	–	(17)
Expenses for contributions in kind	(3 242)	–	–	(3 242)
Acquisition of property, plant and equipment	86	(86)	–	–
Depreciation/amortization	(84)	–	–	(84)
Total basis differences	**(3 476)**	**(86)**	**–**	**(3 562)**
Budget revenue in accordance with statement V	**43 533**	**–**	**–**	**43 533**
Presentation differences				
Revenue for contributions in kind	3 242	–	–	3 242
Refund of prior biennium surplus	(9)	–	–	(9)
Elimination of non-cash changes in assets and liabilities in operating cash flow	892	–	–	892
Investment revenue presented as investing activities	(102)	102	–	–
Total presentation differences	**4 023**	**102**	**–**	**4 125**
Total entity differences	**4 992**	**(7 063)**	**–**	**2 071**
Actual amount per statement of cash flows (statement IV)	**5 539**	**(7 047)**	**–**	**1 508**

Note 18
Related parties: key management personnel

189. The key management personnel of ITC are the Executive Director, the Deputy Executive Director, the Directors of the five divisions, the Chief Adviser in the Office of the Executive Director and the Chief of Strategic Planning, who have the authority and responsibility for planning, directing and controlling the activities of ITC and influencing its strategic direction.

	31 December 2024	*31 December 2023*
Number of individuals (full-time equivalents)	9	9

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Aggregate remuneration	2 587	2 159
Outstanding advances as at 31 December	59	77

190. The aggregate remuneration paid to key management personnel includes gross salaries, post adjustment, entitlements, assignment and other grants, rental subsidy, costs of shipment of personal effects, income tax reimbursement and employer contributions to the pension plan and current health insurance contributions. Key management personnel are also qualified for post-employment benefits, which are payable only upon separation. No non-monetary and indirect benefits were paid to key management personnel. Key management personnel are ordinary members of the United Nations Joint Staff Pension Fund.

191. Any advances are those made against entitlements in accordance with the Staff Regulations and Rules of the United Nations. There were no loans granted to key management personnel.

Transactions with related party entities

192. Except otherwise noted in these statements, for revenue from non-exchange transactions including contributions in kind, all transactions made with third parties, including United Nations system organizations and WTO, occur within a normal relationship between supplier or client and recipient or at arm's length terms and conditions.

193. As explained in note 5 above, the ITC cash and investments are managed by the United Nations Treasury as part of the main cash pool.

Note 19
Interest in joint arrangement

194. ITC participates in a jointly financed operation relating to safety and security, which is established under a binding agreement. However, ITC does not have significant control over the activity. The interest of ITC in the activity is its share of the activity's net assets recognized using the equity method, which is based on the funding apportionment percentage such as the number of employees and the total space occupied. Since the total of the activity is in a net liability position, this is recognized as a non-current liability in the ITC statement of financial position.

195. The Centre's share of the activity for the year ended 31 December 2024 is $0.017 million (2023: $0.084 million) and is recognized in the ITC statement of financial performance as an expense. Where the activity also has transactions, which are recorded directly in net assets, the ITC share of these transactions is accounted for through the statement of changes in net assets (statement III). In 2024, the increase relates to an actuarial gain relating to the employee benefits liability valuation.

196. Movements in the joint arrangement for the year are reflected in the table below.

(Thousands of United States dollars)

	2024	*2023*
Cost as at 1 January	**199**	**86**
Movement for the year:		
Changes in net assets of joint arrangement recognized through statement of changes in net assets	(3)	29
Share of deficit/(gain) for the year of joint arrangement recognized through statement of financial performance	17	84
Total changes in joint arrangement for the year	**14**	**113**
Share of joint arrangement accounted for using equity method and reported as net liability in statement of financial position as at 31 December	**213**	**199**

Note 20
Leases and commitments

197. ITC has operating leases for the rental of its headquarters building in Geneva, field offices, printing, publishing and other equipment.

198. The minimum lease payments under non-cancellable operating leases are as follows:

Obligations for operating leases

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Due in less than 1 year	1 587	1 738
Due in 1 to 5 years	394	1 183
Total minimum operating lease obligations	**1 981**	**2 921**

199. The lease for the ITC headquarters in Geneva is between the Fondation des immeubles pour les organisations internationales and ITC for an annual lease payment of 1.158 million Swiss francs (2023: 1.085 million Swiss francs). The lease can be renewed for an additional five-year period upon explicit agreement between the parties or terminated by a formal written notice to the Fondation of at least six months before the expiration date of 30 September 2025. The lease agreement also contains a restriction concerning further leasing without consent from the Fondation.

200. ITC leases for field offices can generally be cancelled by providing notice of 30 to 90 days.

201. The equipment leases pertain to photocopiers, printing machines, water fountains and uninterrupted power supply machines. The rental of multifunction photocopiers is based on a five-year contract. This lease is based on a fixed annual rental amount for 16 machines and a cost per copy. Since the variable amounts are regular and ongoing, there is a high likelihood that such additional copy costs would be consumed by ITC on an ongoing basis. The rental of printing equipment is based on a fixed amount per year for an initial four-year contract, renewable twice for a two-year period until 28 February 2026. The rental of water fountains and uninterrupted power supply machines are based on fixed annual cost. None of the agreements contain purchase options, and either party may terminate the contract, in whole or in part, upon 30 days' notice, in writing, to the other party.

Other commitments

Open contractual commitments

(Thousands of United States dollars)

	31 December 2024	*31 December 2023*
Property, plant and equipment	225	350
Grants	15 271	24 131
Goods and services	15 180	14 988
Total open contractual commitments	**30 676**	**39 469**

202. Other commitments relate to the future commitment to transfer funds to end beneficiaries, implementing partners, and the acquisition of goods and services, including purchase orders, contracted for but not delivered as at 31 December 2024. The decrease is primarily driven by a decline in grant commitments due to the completion and delivery of previously contracted commitments in past years, which have not been replaced by new agreements of similar value.

Note 21
Contingent assets and contingent liabilities

203. There were no contingent assets or liabilities arising as at the reporting date.

Note 22
Events after the reporting date

204. There have been no material events, favourable or unfavourable, that occurred between the date of the financial statements and the date on which the financial statements were authorized for issue, except that in February 2025, the Centre received a termination notification for its sole grant funded by the United States Government. Since that event occurred after the reporting date, it is classified as a non-adjusting event under IPSAS, and no adjustments have been made to these financial statements.

205. As of the reporting date, approximately $7.601 million in voluntary contributions receivable under the grant had been recognized on the Statement of Financial Position, representing 2.8 per cent of the organization’s total voluntary contributions receivable (note 6) as at the reporting date.

Annex I

Statement of appropriations

General fund: statement of appropriations for the year ended 31 December 2024

(Thousands of United States dollars)

	Appropriations[a]			*Expenditures*			
	Original	*Changes*	*Revised*	*Disbursements*	*Unliquidated obligations*	*Total*	*Unencumbered balance*
International Trade Centre							
Programme of activities	43 545	(12)	43 533	43 323	210	43 533	–

[a] Represents the original appropriation of $43.545 million for the year 2024. The General Assembly, in its resolutions 78/253 and 78/254 A–C, authorized the United Nations share (United Nations share: $21.724 million).

Annex II

Statement of budget and actual amounts for the year ended 31 December 2024

(Thousands of United States dollars)

	Publicly available budget[a]		*Actual expenditure on budget basis for 2024*	*Difference (percentage)*
	Original annual	*Final annual*		
Posts	34 096	34 096	35 993	5.6
Non-post	9 449	9 449	7 540	(20.2)
Total	**43 545**	**43 545**	**43 533**	–

[a] Represents the original budget of $43.545 million for the year 2024, which remains unchanged. The General Assembly, in its resolutions 78/253 and 78/254 A–C, authorized the United Nations share of $21.724 million.

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